

The Personal Income Tax System in Sri Lanka: Comprehensive Analysis of the 2025 and 2026 Structural Reforms

Introduction to the Personal Income Tax Framework

Personal Income Tax (PIT) constitutes a vital direct tax levied on the net income generated by individuals, including earnings derived from employment, business operations, investments, and other miscellaneous sources¹. In public finance theory, PIT is structured progressively to ensure that the tax burden correlates with an individual's financial capacity, meaning tax rates rise incrementally alongside taxable income². This mechanism ensures vertical equity within the domestic tax base².

The macroeconomic purpose of PIT extends beyond mere state funding. In the wake of Sri Lanka's post-2022 debt restructuring and fiscal stabilization programs, PIT has become a crucial policy instrument for domestic revenue mobilization, intended to narrow structural fiscal deficits, satisfy external debt commitments, and curb inflationary pressures by managing domestic demand³. Structurally, it serves as an equitable redistribution tool, helping to reduce income inequality by collecting a larger portion of revenue from high-income earners and channeling it toward essential public services, social safety nets, and infrastructural development².

The administrative and enforcement mandate for PIT in Sri Lanka is held by the Inland Revenue Department (IRD)¹. Operating under the statutory authority of the Inland Revenue Act No. 24 of 2017, alongside its successive amendments, the IRD is responsible for maintaining the taxpayer registry, issuing Taxpayer Identification Numbers (TINs), conducting tax audits, implementing withholding tax programs, and managing electronic filing platforms to improve revenue collection efficiency¹.

Eligibility and the Residential Status Determination Matrix

An individual's liability to pay personal income tax in Sri Lanka is determined by their residential status¹. This status dictates whether their tax exposure is limited to domestic earnings or extends to their global income¹.

The Core Jurisdictional Divide: Resident vs. Non-Resident Individuals

A resident individual is liable to pay income tax on their worldwide income, which encompasses all profits and gains earned both within and outside the borders of Sri Lanka¹. In contrast, a non-resident individual is taxed solely on income arising in or derived from sources within Sri Lanka¹.

The Physical Presence Rule (The 183-Day Test)

Under Section 69 of the Inland Revenue Act, an individual is deemed a tax resident of Sri Lanka for a given Year of Assessment (Y/A) if they meet any of the following criteria:

- The individual resides in Sri Lanka⁸.
- The individual is physically present in Sri Lanka during the Year of Assessment, and that presence falls within a period or periods amounting in the aggregate to ¹⁸³ days or more within any twelve-month period that commences or ends during the year under review⁸.
- The individual is an employee or official of the Government of Sri Lanka (or a spouse of such official) posted abroad during the Year of Assessment¹⁰.

Tax Liabilities of Sri Lankan Citizens vs. Expatriates

While residency relies primarily on physical presence, the tax law introduces specific statutory distinctions between citizens and foreign nationals:

- **Sri Lankan Citizens:** Citizens of Sri Lanka, whether resident or non-resident, are legally entitled to deduct a standard personal relief of LKR ^{1, 800, 000} per annum from their assessable income, except against gains from the realization of investment assets¹³. This allows non-resident citizens earning domestic income to utilize the tax-free allowance¹³.
- **Foreign Nationals (Expatriates):** Foreigners working in Sri Lanka on resident or employment visas are classified as residents if they exceed the ¹⁸³-day physical presence threshold, exposing their global earnings to domestic progressive taxation⁸.

Conversely, if they remain in the country for less than ¹⁸³ days, they are taxed strictly as non-residents on local income and are ineligible for the LKR ^{1, 800, 000} personal relief allowance¹³.

Structural Reforms to residency Rules

The legislative updates enacted for 2025 and proposed for 2026 introduce targeted revisions to residency classifications to support foreign investment, protect outbound maritime workers, and regulate expatriate taxation¹⁸:

Taxpayer Classification	Revisions Effective April 1, 2025	Macroeconomic Policy and Revenue Implications
Golden Paradise Residence Visa Holders	Treated as non-residents for tax purposes ¹⁸ .	Encourages high-net-worth individuals to deposit a minimum of USD ^{200, 000} in local accounts by

		shielding their global assets and offshore earnings from Sri Lankan tax jurisdiction ¹⁸ .
Outbound Migrants for Foreign Employment	Classified as non-residents from the date of departure, provided they possess an employment contract of at least 1 year with an unassociated overseas employer ¹⁸ .	Protects the foreign wages of departing professionals from domestic progressive tax rates, encouraging formal remittances through the banking system ¹⁸ .
Non-Citizen Crew of Sri Lankan Ships	Tax liability is restricted strictly to employment income earned on the vessel ¹⁸ .	Excludes foreign-sourced income from domestic taxation, making Sri Lanka's shipping registry more competitive for international seafarers ¹⁰ .

Reconfigured Progressive Slabs and Personal Reliefs

The domestic direct tax system was restructured under the **Inland Revenue (Amendment) Act, No. 2 of 2025**, which was certified on March 20, 2025, and came into operation on April 1, 2025¹⁵. The legislation reconfigured the progressive personal income tax slabs to ease the tax burden on middle-income earners while maintaining revenue collection from high-income brackets².

Elevation of Personal Relief

For the Year of Assessment 2025/2026 and subsequent years, the personal tax-free relief for resident individuals and non-resident Sri Lankan citizens was increased from LKR 1,200,000 to **LKR 1,800,000 per annum** (equivalent to LKR 150,000 per month)². Taxpayers with an annual net income below LKR 1,800,000 are exempt from personal income tax³. This personal relief cannot be claimed by trustees, executors, liquidators, or receivers, nor can it be deducted from capital gains realized on investment assets¹.

The Reconfigured Tax Slabs

The restructuring simplified the progressive rate structure by expanding the initial tax band and completely removing the previous 12% intermediate tax slab². The first LKR 1,000,000 of taxable income exceeding the LKR 1,800,000 relief is taxed at 6%¹⁴. Subsequent income

bands of LKR 500,000 are taxed at progressive rates of 18%, 24%, and 30%, with the balance above LKR 4,300,000 of total income taxed at the terminal rate of 36%¹⁴. The comparative layout of the tax brackets between the previous Year of Assessment and the current restructured system illustrates this legislative shift:

Tax Rate	Taxable Income Slab: Y/A 2024/2025 (LKR / Annual)	Taxable Income Slab: Y/A 2025/2026 onwards (LKR / Annual)
0%	First 1,200,000 (Personal Relief)	First 1,800,000 (Personal Relief)
6%	Next 500,000	Next 1,000,000
12%	Next 500,000	<i>Slab Abolished</i>
18%	Next 500,000	Next 500,000
24%	Next 500,000	Next 500,000
30%	Next 500,000	Next 500,000
36%	Balance exceeding 3,700,000	Balance exceeding 4,300,000

The mathematical formulation for the cumulative annual tax liability (T) of a resident individual with taxable assessable income (I) can be expressed as follows:

- For $I \leq 1,800,000$:

$$T = 0$$

- For $1,800,000 < I \leq 2,800,000$:

$$T = (I - 1,800,000) \times 0.06$$

- For $2,800,000 < I \leq 3,300,000$:

$$T = 60,000 + (I - 2,800,000) \times 0.18$$

- For $3,300,000 < I \leq 3,800,000$:

$$T = 150,000 + (I - 3,300,000) \times 0.24$$

- For $3,800,000 < I \leq 4,300,000$:

$$T = 270,000 + (I - 3,800,000) \times 0.30$$

- For $I > 4,300,000$:

$$T = 420,000 + (I - 4,300,000) \times 0.36$$

The monthly tax liabilities and corresponding savings under this restructured regime are detailed below:

Monthly Gross Income (LKR)	Tax Payable w.e.f. April 1, 2025 (LKR)	Tax Payable up to March 31, 2025 (LKR)	Monthly Net Tax Saving (LKR)	Tax Reduction Percentage
150,000	0	3,500	3,500	100.0%
200,000	3,000	10,500	7,500	71.4%

300,000	18,500	35,000	16,500	47.1%
400,000	50,000	70,500	20,500	29.0%
500,000	86,000	106,500	20,500	19.2%
600,000	122,000	142,500	20,500	14.4%
1,000,000	266,000	286,500	20,500	7.1%

Advance Personal Income Tax and Employment Benefits

Advance Personal Income Tax (APIT) is the mandatory tax withholding system applied to employment income². APIT replaced the former Pay-As-You-Earn (PAYE) scheme in 2020 and became compulsory for all eligible employees in January 2023². Employers must deduct APIT from employee salaries monthly and remit the funds to the IRD by the 15th day of the following month². If an employer fails to withhold or remit this tax, they are held personally liable for the outstanding balance under Section 124(1) of the Inland Revenue Act¹¹.

APIT Calculation Brackets (Table 1)

To calculate monthly withholdings from regular profits, employers apply APIT Table 1 to resident employees and non-resident Sri Lankan citizen employees²². The monthly withholding schedules reflect the reconfigured annual tax bands²⁵:

Monthly Taxable Profits (LKR)	APIT Monthly Deduction Formula (LKR)
Up to 150,000	Exempt
150,001 to 233,333	(Monthly Profits × 6%) –
233,334 to 275,000	(Monthly Profits × 18%) –
275,001 to 316,667	(Monthly Profits × 24%) –

316,668 to 358,333	(Monthly Profits $\times$ 30%) –
Exceeding 358,333	(Monthly Profits $\times$ 36%) –

APIT Lump Sum Calculations (Table 2)

For irregular or lump-sum payments such as bonuses, incentives, share schemes, or gratuities, employers must use APIT Table 2². This process requires a projection called Estimated Gross

Aggregate Remuneration (EGAR), denoted as variable D ²⁶:

$$D = A + B + C$$

Where:

- A represents the gross aggregate monthly regular remunerations already paid during the Year of Assessment²⁶.
- B is the estimated monthly regular remunerations payable for the remaining months of the Year of Assessment²⁶.
- C represents the gross aggregate lump-sum payments already made, currently being made, or payable during the Year of Assessment²⁶.

The tax withholding on a new lump-sum payment is calculated by applying a specific

progressive formula based on where the total EGAR (D) falls within the statutory limits²⁶:

- For D between 1,800,001 and 2,800,000 :

$$\text{Tax Payable} = (D \times 6\%) - [108,000 + \text{Table 1 Tax on } A -$$

- For D between 2,800,001 and 3,300,000 :

$$\text{Tax Payable} = (D \times 18\%) - [444,000 + \text{Table 1 Tax on } A$$

- For D between 3,300,001 and 3,800,000 :

$$\text{Tax Payable} = (D \times 24\%) - [642,000 + \text{Table 1 Tax on } A]$$

- For D between 3,800,001 and 4,300,000 :

$$\text{Tax Payable} = (D \times 30\%) - [870,000 + \text{Table 1 Tax on } A]$$

- For $D > 4,300,000$:

$$\text{Tax Payable} = (D \times 36\%) - [1,128,000 + \text{Table 1 Tax on } A]$$

Employees' Provident Fund (EPF) and Employees' Trust Fund (ETF)

Employment in Sri Lanka also requires contributions to statutory social security funds². These contributions are calculated as a percentage of gross monthly earnings²:

- **EPF Contributions:** The employee contributes a mandatory **8%** of their gross earnings, deducted from their salary monthly, while the employer contributes an additional **12%**².

Importantly, the employee's ^{8%} EPF contribution is **deductible from gross remuneration** when calculating the monthly APIT liability².

- **ETF Contributions:** The employer must contribute **3%** of the employee's gross monthly earnings to the ETF². No deduction is made from the employee's salary for this contribution².

Foreign Income and the Service Export Concessionary Regime

A significant change introduced by the Inland Revenue (Amendment) Act No. 2 of 2025 is the removal of the tax exemption on foreign services and foreign-sourced income, replacing it with a conditional concessionary regime starting April 1, 2025¹⁴.

The Removal of Blanket Exemptions

Prior to April 1, 2025, any gains and profits earned by individuals from services rendered in or outside Sri Lanka to be utilized outside the country (service exports) were completely exempt from income tax¹⁴. This exemption was repealed to broaden the direct tax base¹⁴.

The Capped 15% Concessionary Tax Regime

To protect the competitiveness of Sri Lanka's digital service sectors—such as IT, software development, BPO, KPO, and freelance services—the amendment introduced a concessionary rate capped at a maximum of **15%** for individuals¹⁵. To qualify for this concessionary rate, two statutory criteria must be satisfied:

1. The payment for the services must be received in **foreign currency**¹⁵.
2. The foreign currency earnings must be **remitted to Sri Lanka through a licensed commercial bank**¹⁵.

For qualifying individuals, this concessionary tax is applied progressively up to the **15%** cap²⁷. The first LKR **1,800,000** remains tax-free²⁷. The next LKR **1,000,000** is taxed at the entry rate of **6%**, while any remaining balance of remitted foreign income is taxed at a flat rate of **15%**²⁷. This allows qualifying individuals to bypass the standard higher progressive slabs of **18%**, **24%**, **30%**, and **36%**²⁷.

Slabs of Assessable Income Exceeding LKR 1.8M	Standard PIT Rates on Local/Non-Remitted Income	Concessionary PIT Rates on Remitted Foreign Income
First LKR 1,000,000	6%	6%
Next LKR 500,000	18%	15% (Capped)
Next LKR 500,000	24%	15% (Capped)
Next LKR 500,000	30%	15% (Capped)
Balance	36%	15% (Capped)

If foreign-sourced earnings are kept offshore or not routed through a licensed local bank, the individual forfeits the concessionary rate²⁷. Under these circumstances, the income is treated as standard domestic income and is subject to the progressive tax brackets up to **36%**²⁷.

The 2026 Digital Nomad Visa (DNV) Framework

To attract foreign remote talent and boost foreign currency inflows, the government launched the Digital Nomad Visa in February 2026³. Key details of the program include:

- **Duration and Fees:** Valid for up to ¹ year and renewable annually, with a government processing fee of USD ⁵⁰⁰ per year for the principal applicant, spouse, and each dependent²⁹.
- **Income Requirement:** The principal applicant must demonstrate a minimum monthly foreign currency remittance of USD ^{2,000} into a licensed Sri Lankan bank³⁰. If accompanying dependents exceed two, the required remittance increases by USD ⁵⁰⁰ per month for each additional dependent²⁹.
- **Tax Registration Requirement:** While foreign remote income earned under this visa is exempt from local income tax (since local employment is strictly prohibited), **proof of tax registration with the IRD is a mandatory requirement for visa renewal**²⁹. This requirement helps the state monitor the activities of long-term foreign remote workers³⁰.

Withholding Taxes and Administrative Reforms

The legislative updates for 2025 and 2026 include administrative modifications to withholding mechanisms, intended to secure revenue at source while reducing compliance friction¹⁴.

Advance Income Tax (AIT) on Interest and Savings

Effective April 1, 2025, the Advance Income Tax (AIT)—withheld by financial institutions at source on interest and discounts paid on deposits—was doubled from ^{5%} to ^{10%}¹⁴. AIT on interest is not a final withholding tax; taxpayers must declare interest income in their global calculations and deduct the AIT paid as a tax credit⁷.

To protect low-income savers and senior citizens, the government introduced a **Self-Declaration Mechanism**¹⁴. Resident individuals whose total annual assessable income from all sources falls below the LKR ^{1,800,000} threshold can submit a formal self-declaration to their respective banking institutions¹⁴. Upon verification of the declaration, the bank is prohibited from deducting the ^{10%} AIT on the individual's deposits¹⁴. Senior citizens who do not pay installment taxes can claim quarterly tax refunds on interest deductions up to LKR ^{45,000} per quarter¹⁵. However, submitting false or misleading information in the self-declaration to avoid AIT is subject to an administrative penalty of up to **LKR 200,000** upon enactment of the 2026 Amendment Act¹⁸.

Withholding Tax (WHT) on Independent Service Providers (ISPs)

Under the provisions of the Inland Revenue Act, payments of service fees exceeding LKR ^{100,000} per calendar month to a resident individual who is not an employee of the payer

(independent contractors, freelancers, consultants) are subject to a **5% WHT** deducted at source by the withholding agent¹³.

The 2026 Amendment Bill expands the statutory definition and scope of ISPs subject to this **5%** deduction¹⁸. To combat tax leakage in the informal economy, the bill explicitly extends WHT capture to service fees paid to:

Creative and Media Fields	Technical and Professional Fields	Manual and Lifestyle Fields
Artists, Actors, Dancers ¹⁸	Auditors, Accountants, Valuers ¹⁸	Personal Trainers, Coaches ¹⁸
Singers, Musicians, Writers ¹⁸	IT Specialists, Modellers ¹⁸	Beauticians, Therapists, Cooks ¹⁸
Photographers, Videographers ¹⁸	Debt Collectors, Advisors ¹⁸	Electricians, Social Media Specialists ¹⁸
Event Organizers, Advertising Agents ¹⁸	Brand Ambassadors, Translators ¹⁸	Dentists, Veterinarians ¹⁸

Withholding agents are legally barred from charging fees for issuing WHT certificates to service providers¹⁸.

Fast-Track Refund Claims and the Limitation Window

To improve liquidity for individual taxpayers, the IRD revised its refund procedures for Y/A 2025/2026¹⁴. If a resident individual submits an income tax return claiming a refund up to **LKR 180,000**, the IRD must process and disburse the refund within **three months** of the claim, prior to conducting a formal tax audit¹⁵. For senior citizens, this fast-track threshold is set at a maximum of **LKR 45,000 per quarter**¹⁵.

Alongside these fast-track provisions, the statutory limitation period for filing any refund claim has been reduced from four years to **30 months**, calculated from the deadline for submitting the relevant tax return¹⁴.

Filing Protocols and Compliance Mechanisms

The 2026 legislative proposals introduced major structural changes to filing protocols and reporting requirements, designed to streamline the administration of the IRD and simplify compliance for the general public¹⁸.

Abolition of the Statement of Estimated Tax (SET)

Historically, taxpayers liable for quarterly installment payments (due on August 15, November 15, February 15, and May 15) were required to file a complex Statement of Estimated Tax

Payable (SET) form alongside their first payment⁵.

Effective from the Year of Assessment 2026/2027 (commencing April 1, 2026), the requirement to file the SET form is **completely ceased**¹⁸. Instead of submitting annual estimates, quarterly tax installments are calculated directly based on the taxable income of the immediately preceding Year of Assessment¹⁸. If a taxpayer had no taxable income in the previous year or anticipates a significantly lower income in the current year, they are permitted to calculate and pay current-year estimates in accordance with procedures prescribed by the Commissioner-General of Inland Revenue (CGIR)¹⁸.

Exemption from Annual Return Filings

Effective April 1, 2025, the compliance burden on wage earners is reduced¹⁸. Resident individuals are **exempt** from the obligation to lodge an annual Return of Income if their income consists exclusively of:

- Employment income that has been subjected to Advance Personal Income Tax (APIT) withholding by their employer¹⁸.
- Interest income, provided the total interest earned does not exceed LKR 5,000 for the entire Year of Assessment¹⁸.

This administrative adjustment eliminates the need for millions of salaried workers to file returns, allowing the IRD to redirect its auditing resources toward high-yield corporate and high-net-worth tax audits¹⁸. Additionally, starting with Y/A 2025/2026, senior citizens are permitted to file their returns in either physical written form or electronically, reversing the strict mandatory e-filing rule introduced in Y/A 2023/2024⁷.

The Mandatory Taxpayer Identification Number (TIN) Integration

To curb parallel cash economies and expand the taxpayer registry, the government has legislated a mandatory registration framework⁷. Effective April 1, 2026, all resident individuals must present their TIN Certificate to perform essential economic transactions¹⁸:

Transaction Type	Registration Authority / Requirement
Banking and Financial Facilities	Opening any personal or corporate account at a licensed financial institution.
Credit Access	Formal applications for obtaining a new credit card.
Real Estate Transactions	Registration of land purchases or transfer of land titles.

Construction and Development	Obtaining formal building plan approvals from municipal councils.
Commercial Operations	Registration of a sole proprietorship, partnership, or limited liability company.
Securities Transfers	Executing any transfer of shares of a Sri Lankan incorporated company (required by both transferor and transferee).
Motor Vehicles	Registering a newly acquired vehicle or renewing an existing motor vehicle license.

Capital Gains Tax (CGT) Restructuring and Assets Exemptions

Under the proposed 2026 amendments, the tax structure on the disposal of assets has been altered¹⁸:

- Rate Increase:** The Capital Gains Tax (CGT) rate on the realization of investment assets by individuals and partnerships will increase from ^{10%} to **15%**, effective from the date of enactment of the amendment¹⁸. Other entities, such as trusts, NGOs, unit trusts, and mutual funds, will face a CGT rate increase from ^{10%} to **30%**¹⁸.
- Motor Vehicle Exemption:** The disposal of motor vehicles by individuals is **exempt** from income tax and CGT, retroactively effective from April 1, 2024¹⁸.
- Deductibility of Cash Transactions:** To qualify for tax deductions, business payments of LKR ^{500,000} or more in a single day must generally be made through non-cash channels¹⁸. However, the 2026 Bill clarifies that directly depositing cash into the recipient's bank account is permitted for deduction, retroactively effective from May 8, 2023¹⁸. This rule does not apply to payments made directly to the Government of Sri Lanka¹⁸.

Policy Conclusions and Strategic Implications

The structural adjustments to Personal Income Tax in Sri Lanka for 2025 and 2026 reflect a transition toward formalizing the domestic economy¹⁸. These policy shifts present second- and third-order economic implications:

The Talent Retention and Brain Drain Dilemma

The elimination of the complete tax exemption on foreign service exports in favor of a progressive system capped at ^{15%} represents a policy compromise¹⁴. While the tax provides

the state with foreign currency tax revenue, the 15% levy on net profits has generated concern among IT specialists, remote developers, and digital consultants²⁸.

With the launch of the Digital Nomad Visa, Sri Lanka aims to attract foreign talent³. However, imposing tax registration requirements as a prerequisite for visa renewal could deter some nomads, who may opt for regional competitors like Indonesia (Bali) or Thailand, which offer longer tax-free horizons on purely foreign-sourced income²⁹.

Closing the Informal Loophole

The mandatory submission of TINs for day-to-day transactions (vehicle renewals, property registration, bank accounts) will effectively link the informal cash economy to the formal tax system¹⁸. Taxpayers who historically avoided declaring their full assessable income will now leave a clear digital and asset trail⁷.

The retrospective legalization of cash deposits directly into a payee's bank account (for business transactions over LKR 500,000) provides administrative clarity, encouraging formal banking transactions over direct physical cash handovers¹⁸.

Administrative Rationalization

By removing the annual return filing requirement for single-source APIT earners and abolishing the SET form, the IRD has significantly reduced its paper trail and administrative overhead¹⁸.

This shift from clerical document processing to high-yield risk-based audits allows the state to allocate resources to high-net-worth individuals and corporate tax compliance.

Collectively, these reforms aim to stabilize the sovereign balance sheet while modernizing Sri Lanka's revenue architecture³.

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Comprehensive Guide to Personal Income Taxation in Sri Lanka: Fiscal Years 2025 and 2026

Legislative Evolution of Sri Lanka's Individual Taxation Framework

The individual tax landscape in Sri Lanka has undergone a profound structural shift designed to expand the direct tax base, optimize domestic revenue collection, and curb systemic evasion¹. Grounded in the principal provisions of the Inland Revenue Act No. 24 of 2017, the country's tax administration has transitioned from a reliance on self-declaration to a highly integrated, data-matched compliance network¹. This transition was accelerated by the certification of the Inland Revenue (Amendment) Act No. 2 of 2025 on March 20, 2025, which introduced revised tax slabs, elevated personal reliefs, and restructured withholding mechanisms³.

The modernization process is further extended by the Inland Revenue (Amendment) Bill presented to Parliament on March 17, 2026⁵. This legislative update refines the criteria for individual tax residency, adjusts deductions for export-related payments, allows non-residents to deduct head office expenditures, and limits the administrative burden of filing a Statement of Estimated Tax (SET)⁵. The cumulative effect of these amendments for the Years of Assessment (Y/A) 2025/2026 and 2026/2027 is a dual-jurisdictional tax structure that strictly enforces local compliance while offering specialized paths for foreign currency repatriation and international commerce².

Taxpayer Identification Number (TIN) Registration and Compliance Protocols

Under Section 102 of the Inland Revenue Act, the Taxpayer Identification Number (TIN) has evolved from a basic tax reference into the primary anchor of an individual's civic and financial identity in Sri Lanka¹. The registration mandate has expanded beyond active taxpayers to encompass almost the entire adult resident population¹.

Definition and Systemic Role of the TIN

The TIN is a unique, computer-generated alphanumeric identifier issued by the Inland Revenue Department (IRD)¹. It is the mandatory reference code for tracking all direct tax liabilities, submitting annual returns, and validating high-value commercial transactions¹. In the state's modern digital framework, the TIN acts as a link connecting banks, municipal registries, and customs databases to ensure that undeclared wealth is systematically captured¹.

The Statutory Necessity of TIN Registration

The requirement to obtain a TIN is enforced through mandatory transactional linkages across key sectors of the domestic economy¹. Even if an individual's total income falls below the taxable threshold, executing everyday transactions is legally impossible without a valid TIN¹. The table below outlines the transactions where a TIN is required:

Transaction Sector	Specific Administrative and Commercial Triggers	Legal Consequence of Non-Compliance
Banking and Finance	Opening current bank accounts, maintaining specific interest-bearing deposit portfolios, and submitting interest self-declarations ¹ .	Automatic deduction of a 10% withholding tax on deposit interest at source ¹ .
Asset and Motor Vehicles	Registering a newly acquired motor vehicle, executing vehicle ownership transfers, and renewing annual vehicle revenue licenses ¹ .	Denial of transaction registration and licensing by the Department of Motor Traffic ¹ .
Real Estate and Land	Registering land ownership deeds and submitting title transfers to provincial land registries ¹ .	Suspension of deed registration and title validation ¹ .
Municipal Development	Submitting commercial or residential building plans for local government approval ¹ .	Rejection of construction permits and development clearances ¹ .
International Trade	Registering as an importer or exporter, and clearing commercial cargo through Sri Lanka Customs ¹ .	Confiscation of cargo and suspension of trade licenses ¹⁰ .

Scope of the Registration Mandate

Under the Extraordinary Gazette Notification No. 2334/21 issued on May 31, 2023, the Minister of Finance mandated that any resident individual in Sri Lanka who was 18 years of age or older as of December 31, 2023, or who turned 18 on or after January 1, 2024, must register with the IRD and obtain a TIN⁸. This mandate applies to all resident adults, including salaried employees, self-employed professionals, freelancers, students, and non-earning individuals¹.

For minors under 18 years of age, registration is not universally mandatory but is required if the minor receives taxable investment income, holds bank deposits in their own name, or is the beneficiary of active trust and inheritance structures¹. Under these circumstances, parents or legal guardians are responsible for submitting registrations and declarations on behalf of the minor¹.

Sri Lankan tax residents living or working abroad must also maintain an active TIN if they continue to derive local income, hold domestic bank accounts, or manage land and investment assets within Sri Lanka¹. Conversely, under Circular No. SEC/2025/E/08, Sri Lankan expatriates who are classified as non-residents are exempt from the general registration mandate unless they actively engage in the restricted transactions specified in Gazette No. 2334/21, such as opening local current accounts or registering land deeds⁹.

Procedural Channels for TIN Registration

The IRD offers both digital and manual pathways for taxpayers to secure their registration and transition to active compliance⁸.

[Online Portal (RAMIS)] —> Select "Individual Local/Foreign" —> Enter Details & Upload NIC —> Verification —> TIN & PIN Issued via Email

[Physical Submission] —> Download Form TPR_002_E —————> Submit to Head/Regional Office —————> Verification —> Physical Certificate Issued

The digital pathway is executed via the RAMIS platform on the IRD e-Services portal¹⁵. The applicant selects the "Taxpayer Registration" e-service and designates the category as either "Individual Local" or "Individual Foreigner"⁸. The system prompts the input of personal particulars, including full name, national identity details, date of birth, preferred communication language (Sinhala, Tamil, or English), and a primary contact number and email address¹⁵. The applicant must also designate their primary sources of income, selecting from employment, business, rent, or interest/dividend categories¹⁸. The process requires uploading a clear, double-sided scanned PDF copy of the National Identity Card (NIC) for citizens, or a valid Passport for foreign nationals¹. If the applicant's current address differs from the address printed on the NIC, they must upload proof of address issued within the preceding three months, such as a utility bill, bank statement, or Grama Niladhari certificate¹. Once the application is submitted, the system generates a unique acknowledgement number for tracking purposes¹⁵. Upon successful verification, the IRD transmits the official TIN certificate along with a one-time Personal Identification Number (PIN) to the taxpayer's registered email address⁸. The PIN is necessary to activate the permanent online portal account

and access secure e-filing systems¹¹.

Alternatively, taxpayers may utilize the physical registration pathway¹. This requires downloading and completing the "Application for Taxpayer Registration - Individual and Proprietorship" (Form TPR_002_E)¹. The physical form must be submitted alongside the required supporting identity and address documents to the Primary Registration Unit on the second floor of the IRD Head Office in Colombo, or to any metropolitan or regional branch office¹. Under optimal conditions, in-person submissions accompanied by original documents can be processed, and the physical TIN certificate issued, on the same day¹⁸.

Protocols for Modifying Profile Details and Proprietorships

Taxpayers are required to keep their registered profile details current¹¹. Any changes to an individual's address, name, marital status, or business activities must be reported to the IRD before registering for new tax types, such as Permanent Value Added Tax (VAT) or Temporary VAT¹⁰. Profile updates are executed using the "Application Form for Change Taxpayer Registration Details (For Individual and Proprietorship)" (Form TPR_009_E) or via the online profile modification e-service¹¹.

Form TPR_009_E requires inputting only the fields that need updating¹⁸. If an individual changes their citizenship, they must submit their new passport or NIC details¹⁸. For sole proprietorships, Appendix A must be completed to add or update business names, registration numbers, principal activities, and commencement dates¹¹. Proof of address updates requires a utility bill or bank statement issued within the last three months¹.

If an authorized representative submits the modification, they must provide their national identity card or passport alongside an official authorization letter from the taxpayer¹⁸. Form TPR_008_E is used for corporate entity updates, such as changes to directors, secretaries, or registered addresses¹¹. Under Section 150 of the Act, failing to notify the IRD of changes to a registered address or physical place of business carries an administrative penalty of LKR 50,000²⁴.

The Legal Framework of Tax Residency in Sri Lanka

Sri Lanka's personal tax system is structured around the dual concepts of tax residency and the source of income²⁵. This classification determines the scope of an individual's taxable income and their eligibility for statutory reliefs².

Statutory Residency Tests

Under Section 69(1) of the Inland Revenue Act No. 24 of 2017, an individual is classified as a resident of Sri Lanka for a given Year of Assessment if they meet any of the following criteria⁹:

- **The Domicile Test:** The individual resides in Sri Lanka, meaning they have a permanent home in the country or show an intention to reside there indefinitely²⁵.
- **The 183-Day Physical Presence Test:** The individual is physically present in Sri Lanka during the Year of Assessment for a period or periods that aggregate to 183 days or more within any twelve-month period commencing or ending during that fiscal year⁹.

- **The Diplomatic and Government Exception:** The individual is an employee or official of the Government of Sri Lanka stationed abroad during the Year of Assessment⁹.
- **The Maritime Employee Exception:** The individual is employed on a vessel registered as a "Sri Lanka ship" under the Merchant Shipping Act during their period of active service⁹.

Under Section 70(1), if an individual is deemed a resident solely because of the 183-day physical presence test, their resident status begins on the first day of that 183-day period²⁵. In all other cases, an individual classified as a resident is treated as such for the entire Year of Assessment²⁵.

Notably, Clause 11 of the draft Inland Revenue (Amendment) Bill of March 2026 proposes specific exclusions under Section 69 to clarify circumstances where certain short-term or transitional individuals will not be classified as residents for tax purposes⁵.

Tax Implication Matrix: Residents vs. Non-Residents

The distinction between resident and non-resident status determines the scope of taxable income and access to standard personal reliefs². The comparative matrix below outlines these tax implications for different residential categories:

Tax Attribute	Resident Individual (Citizen or Foreigner)	Non-Resident Sri Lankan Citizen	Non-Resident Foreign National
Scope of Income Taxation	Worldwide income from employment, business, investment, and other global sources ² .	Only gains and profits arising in or derived from a source within Sri Lanka ² .	Only gains and profits arising in or derived from a source within Sri Lanka ² .
Personal Tax-Free Relief	Eligible for personal relief of LKR 1,800,000 per annum for Y/A 2025/2026 ² .	Eligible for personal relief of LKR 1,800,000 per annum for Y/A 2025/2026 ² .	Not eligible for personal relief; taxed on the first rupee of Sri Lankan-sourced income ² .
Housing and Rental Relief	Eligible for 25% rent relief for repairs if costs are borne by the owner ⁶ .	Eligible for 25% rent relief for repairs if costs are borne by the owner ⁶ .	Not eligible for standard resident rental repair reliefs ⁶ .
Environmental and	Eligible for solar	Not eligible for solar	Not eligible for solar

Solar Relief	panel installation relief up to LKR 600,000 per annum ⁶ .	panel installation reliefs ⁶ .	panel installation reliefs ⁶ .
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The Evolving Status of Temporary Residents and Expatriates

A temporary resident is typically defined under the Foreign Exchange Act and the Immigrants and Emigrants Act as a foreign national residing or employed in Sri Lanka on a valid resident, work, or investor visa³¹.

Historically, non-citizen employees were treated as non-residents for their first three years of local employment and taxed at a flat concessionary rate of 15% on their employment income³². Under current tax laws, however, temporary residents are taxed at standard progressive rates if they meet the 183-day physical presence test⁹.

For short-term foreign workers, remote freelancers, and digital nomads, tax residency is avoided if their physical presence remains below 183 days³³. Under these circumstances, their foreign-sourced remote income is not subject to Sri Lankan tax².

For the repatriation of funds, the Central Bank of Sri Lanka (CBSL) regulates capital transactions for temporary residents and emigrants using Capital Transaction Rupee Accounts (CTRAs), which replaced older NRRA and NRBA accounts⁷. Temporary residents holding valid visas can open a sole CTRA to manage capital transfers⁷.

Under Directions No. 16 of 2021 and subsequent amendments, temporary resident visa holders can repatriate a migration allowance capped at USD 30,000³⁴. This limit is subject to temporary foreign exchange restrictions, such as those introduced under Gazette Extraordinary No. 2467/67 on December 18, 2025³⁵.

Double Taxation Avoidance Agreements (DTAAs) and Treaty Override

Where an individual is classified as a tax resident of both Sri Lanka and another sovereign state under their respective domestic laws, Double Taxation Avoidance Agreements (DTAAs) take legal precedence¹⁹. Section 75 of the Inland Revenue Act establishes that treaty provisions override domestic tax rules¹⁹.

These bilateral treaties prevent double taxation and define taxing rights through several mechanisms:

- **Tie-Breaker Rules:** If an individual is a resident of both contracting states, their tax residency is determined sequentially by the location of their permanent home, the center of their vital personal and economic interests, their habitual abode, or their nationality²⁷.
- **Permanent Establishment (PE) Rules:** DTAAs protect non-resident individuals and unincorporated businesses from being taxed on local business profits unless they operate through a Permanent Establishment (PE) in Sri Lanka¹⁹. For example, under the Germany-Sri Lanka DTA, a representative office that performs activities beyond mere information gathering creates a PE, making the entity liable for domestic income tax on profits attributable to that PE²⁸.

- **Withholding Tax Limits:** Treaties limit the maximum withholding tax rates that Sri Lanka can levy on payments to non-residents¹⁹. For instance, technical service fees paid to non-residents are typically capped at a concessionary rate of 10% under DTAs, overriding higher domestic rates¹⁹.
- **Foreign Tax Credits (FTC):** To eliminate double taxation, residents who pay taxes on foreign-sourced income are allowed to claim a tax credit in Sri Lanka for the taxes paid to the foreign jurisdiction, limited to the domestic tax payable on that specific foreign income²⁴.

Personal Income Tax Slabs, Computations, and Rates (Y/A 2025/2026 & 2026/2027)

The personal income tax structure for the Years of Assessment 2025/2026 and 2026/2027 is governed by the Inland Revenue (Amendment) Act No. 2 of 2025, which came into effect on April 1, 2025³.

Progressive Tax Slabs and Rates

The 2025 amendment raised the tax-free personal relief threshold to LKR 1,800,000 per annum (equivalent to LKR 150,000 per month) for resident individuals and non-resident Sri Lankan citizens³. It also adjusted the progressive tax slabs: the first slab was widened to LKR 1,000,000, the marginal rate was set at 6%, and the 12% intermediate slab was removed³. The progressive tax rates are structured as follows:

Annual Taxable Income Slabs (LKR)	Marginal Tax Rate (%)	Cumulative Tax Liability on Base (LKR)
First 1,000,000	6% ³	LKR 60,000 ³
Next 500,000	18% ³	LKR 150,000 ³
Next 500,000	24% ³	LKR 270,000 ³
Next 500,000	30% ³	LKR 420,000 ³
Exceeding 2,500,000 (Balance)	36% ³	Progressive ³

Mathematical Representation of Tax Liability

For any resident individual or non-resident citizen with an annual assessable income I , the net

taxable income T is computed as:

$$T = I - 1,800,000 \quad [\text{cite: 2, 3}]$$

If $T \leq 0$, the tax liability is zero¹. If $T > 0$, the total annual tax liability $f(T)$ is calculated using the following piecewise function:

$$f(T) = \begin{cases} 0.06T & \text{if } 0 < T \leq 1,000,000 \\ 60,000 + 0.18(T - 1,000,000) & \text{if } 1,000,000 < T \leq 1,500,000 \\ 150,000 + 0.24(T - 1,500,000) & \text{if } 1,500,000 < T \leq 2,000,000 \\ 270,000 + 0.30(T - 2,000,000) & \text{if } 2,000,000 < T \leq 2,500,000 \\ 420,000 + 0.36(T - 2,500,000) & \text{if } T > 2,500,000 \end{cases}$$

Mathematical Application Example 1

An analysis is conducted for a resident professional with an annual global employment and business income of LKR 5,200,000:

Calculate the net taxable income T :

$$T = 5,200,000 - 1,800,000 = 3,400,000 \quad [\text{cite: 2, 3}]$$

Because $T > 2,500,000$, the fifth tier of the piecewise function is applied:

$$f(3,400,000) = 420,000 + 0.36(3,400,000 - 2,500,000) \quad [\text{cite}$$

$$f(3,400,000) = 420,000 + 0.36(900,000)$$

$$f(3,400,000) = 420,000 + 324,000 = 744,000$$

The total annual tax liability is LKR 744,000³.

Mathematical Application Example 2

An analysis is conducted for a resident individual with an annual assessable income of LKR

2,900,000:

Calculate the net taxable income T :

$$T = 2,900,000 - 1,800,000 = 1,100,000 \quad [\text{cite: 2, 3}]$$

Because $1,000,000 < T \leq 1,500,000$, the second tier of the piecewise function is applied:

$$f(1,100,000) = 60,000 + 0.18(1,100,000 - 1,000,000) \quad [\text{cite:}$$

$$f(1,100,000) = 60,000 + 0.18(100,000)$$

$$f(1,100,000) = 60,000 + 18,000 = 78,000$$

The total annual tax liability is LKR 78,000³.

Special concessionary rates

The Inland Revenue Act also applies specialized tax rates to specific categories of income³:

- **Service Exports and Remitted Foreign Income:** Gains and profits earned by individuals from services rendered in or outside Sri Lanka to a foreign utilizing party are taxed at a maximum rate of **15%**, provided the payments are received in foreign currency and remitted to Sri Lanka through a licensed bank³. The same capped rate of **15%** applies to other foreign-sourced income remitted to Sri Lanka under identical conditions³. Note that previous income tax exemptions on these sources were removed effective April 1, 2025³.
- **High-Tax Industries:** Income from betting and gaming, or from the manufacture, sale, or import of liquor and tobacco products, is subject to a flat tax rate of **45%**³.
- **Investment Asset Realization:** Gains from the realization of investment assets are taxed at a flat capital gains tax rate of **10%** for individuals and partnerships⁶.
- **Terminal Benefits:** Concessionary rates apply to lump-sum terminal benefits from employment (such as gratuities or pension fund withdrawals)⁶. The first LKR 10,000,000 is taxed at 0%, the next LKR 10,000,000 is taxed at 6%, and any balance exceeding LKR 20,000,000 is taxed at 12%⁶.

Tax Administration, Withholding mechanisms, and Procedural filing

Compliance is maintained through structured withholding tax mechanisms and quarterly estimated tax payments⁶.

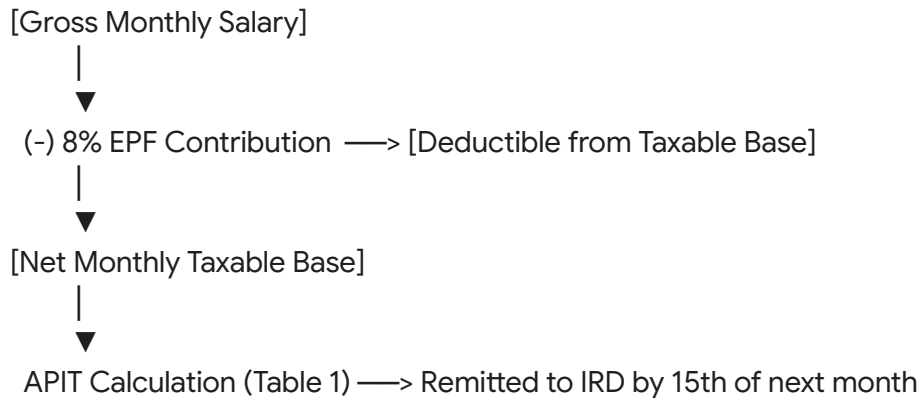
Withholding Tax (WHT) and Advance Income Tax (AIT) Schemes

Under the modern tax framework, withholding taxes are applied at source on investment income and professional service fees⁶. The table below outlines these withholding rates:

Type of Payment	Threshold for Withholding	Mandatory Withholding Rate
Deposit Interest / Discounts	Applied to all deposit accounts without exception ¹ .	10% (treated as a final withholding payment if a self-declaration is submitted) ¹ .
Rent Payments	Monthly aggregate rent exceeding LKR 100,000 paid to a resident person ⁶ .	10% on the full payment amount ⁶ .
Professional Service Fees	Monthly aggregate payment exceeding LKR 100,000 paid to a resident individual ⁶ .	5% on the full payment amount (covers lecturing, teaching, insurance brokerage, etc.) ⁶ .
Dividends	Applied to all distributions by resident companies ⁶ .	15% (treated as a final withholding payment) ⁶ .
Lottery and Betting Winnings	Applied to all payouts, rewards, or betting winnings ⁶ .	14% on the full payout ⁶ .
Gems sold at Auction	Applied to sales conducted by the National Gem and Jewellery Authority ⁶ .	2.5% on the sale price ⁶ .

Advance Personal Income Tax (APIT)

For salaried employees, the progressive income tax is deducted at source by employers through the APIT scheme³⁷. Employers must compute and withhold the tax monthly using standard IRD Tables if an employee's regular monthly remuneration exceeds LKR 150,000¹. In calculating taxable monthly income, the employee's mandatory 8% contribution to the Employees' Provident Fund (EPF) is deductible³⁷. For irregular payments, such as bonuses, gratuities, and terminal benefits, employers must apply "Table 2" lump-sum formulas to ensure accurate cumulative withholding across the fiscal year³⁷.



Self-Declaration and Quarterly Installments

For Y/A 2025/2026, individuals whose quarterly estimated assessable income exceeds LKR 450,000 must file a Statement of Estimated Tax Payable (SET) via the IRD e-Services portal on or before August 15th of the Year of Assessment². Estimated tax liabilities must be paid in four equal quarterly instalments using specific period codes²:

- **First Instalment:** Due on or before **August 15th** of the Year of Assessment².
- **Second Instalment:** Due on or before **November 15th** of the Year of Assessment².
- **Third Instalment:** Due on or before **February 15th** of the Year of Assessment².
- **Fourth Instalment:** Due on or before **May 15th** of the succeeding Year of Assessment².
- **Final Balance:** Settled on or before the statutory filing deadline of **November 30th** of the succeeding Year of Assessment².

The draft 2026 Amendment Bill proposes to simplify this process starting April 1, 2026⁵. Under Clause 19, the requirement to file a SET will be limited to taxable periods *prior* to April 1, 2026, removing this administrative step for subsequent years⁵. Clause 18 of the Bill establishes a new method for calculating quarterly installments, transitioning taxpayers to an installment system based on prior-year tax liabilities⁵.

Refund Procedures and Statutory Limitations

Under the 2025 amendments, the refund process has been accelerated for compliant taxpayers³:

- **Standard Resident Claims:** If a resident individual claims a refund of up to LKR 180,000 in their annual return, the Commissioner-General must process and issue the refund within three months of the claim, prior to conducting a formal tax audit³.
- **Senior Citizen Claims:** Senior citizens can claim quarterly refunds for claims under LKR 45,000, which must be processed before a tax audit³.

- **Statutory Limitation:** All refund claims must be filed within **30 months** of the last date of the relevant Year of Assessment in which the taxpayer was required to file the return³.

Strategic Compliance Considerations for High-Income Earners

The integration of the TIN with banking, real estate, and automotive registries allows the IRD to perform automated data-matching to verify declared income against lifestyle assets¹. This makes active compliance and proper documentation essential for high-income earners¹.

Taxpayers should manage several critical areas to maintain compliance:

1. **Withholding Declarations on Bank Interest:** To avoid the automatic 10% withholding tax on non-taxable deposit interest, resident individuals must submit a signed "Declaration of Non-Taxable Status" (Form ISD/WHT/02-E) to their financial institutions, which requires an active TIN¹.
2. **Structuring Remittances for Foreign Income:** Foreign-currency earnings must be remitted directly to a Sri Lankan bank account to qualify for the concessionary 15% rate³. Earnings kept in overseas accounts or received via informal channels remain subject to standard progressive rates up to 36%³.
3. **Monitoring the 183-Day Residency Threshold:** Expatriates and dual citizens must track their physical presence in Sri Lanka²⁴. Crossing the 183-day threshold triggers worldwide tax residency, bringing global investment portfolios under Sri Lankan tax jurisdiction, unless protected by a relevant DTAA².
4. **Maintaining Records for Deductions and Reliefs:** Standard deductions—such as the LKR 1,800,000 personal relief, the 25% rental repair relief, and qualifying payments for grid-connected solar panels (up to LKR 600,000 per year)—must be backed by original invoices, bank loan certificates, or municipal tax declarations².

By ensuring accurate documentation and timely registration updates, individuals can navigate the modern tax landscape effectively and avoid significant non-compliance penalties¹.

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Sri Lankan Individual Income Tax Regime: A Comprehensive Analysis of the Fiscal Years 2025 and 2026

The fiscal years 2025 and 2026 represent a transformative milestone in the history of direct taxation in Sri Lanka¹. Under the guidance of structural adjustment packages facilitated by international financial institutions, the Government of Sri Lanka has undertaken a comprehensive overhaul of its personal income tax (PIT) architecture¹. Enacted primarily through the Inland Revenue (Amendment) Act, No. 2 of 2025 and the subsequent Inland Revenue (Amendment) Act, No. 11 of 2026, these legislative interventions are strategically designed to expand the domestic tax net, enhance revenue buoyancy, minimize administrative leakages, and transition from an economy historically reliant on arbitrary tax-exempt concessions to one governed by a standardized, progressive, and transparent direct tax framework¹.

The Core Direct Tax Framework

The baseline parameters of the Sri Lankan personal income tax regime underwent a fundamental recalibration from the Year of Assessment (Y/A) 2024/2025 to Y/A 2025/2026¹. The Year of Assessment in Sri Lanka runs from April 1 to March 31 of the succeeding year⁴. The legislative revisions enacted in early 2025 aimed to provide targeted relief to lower-middle-income earners heavily impacted by domestic inflation, while simultaneously steepening the progressive tax curve for higher income brackets to maintain overall revenue neutrality¹.

Personal Relief and Threshold Adjustments

For the Y/A 2024/2025, the statutory tax-free personal relief for resident individuals and non-resident Sri Lankan citizens was established at LKR 1,200,000 per annum, equivalent to LKR 100,000 per month¹. Commencing April 1, 2025, the Inland Revenue (Amendment) Act, No. 2 of 2025 increased this personal relief to LKR 1,800,000 per annum, or LKR 150,000 per month¹. This threshold functions as a fundamental deduction in arriving at an individual's taxable income, though it is legally restricted and cannot be claimed by individuals acting as trustees, receivers, executors, or liquidators, nor can it be deducted against gains derived from the realization of investment assets⁶.

Restructuring of Progressive Brackets

Alongside the expansion of the tax-free threshold, the government restructured the progressive tax slabs¹. The prior regime utilized consecutive tax slabs of LKR 500,000 taxed at incremental rates of 6%, 12%, 18%, 24%, and 30%, with any balance taxed at the top marginal rate of 36%¹. Under the revised regime starting April 1, 2025, the 12% tax bracket was entirely abolished¹.

The initial taxable band was widened to LKR 1,000,000 and taxed at 6%, after which the marginal rate escalates directly to 18% on the next LKR 500,000, creating a much steeper progression toward the top marginal rate of 36%¹.

Taxable Income Brackets (Y/A 2024/2025)	Tax Rate	Monthly Equivalent (LKR)
First LKR 1,200,000	0% (Tax-Free Relief)	First 100,000 ¹
Next LKR 500,000	6%	100,000 to 141,666.67 ⁸
Next LKR 500,000	12%	141,666.67 to 183,333.33 ⁸
Next LKR 500,000	18%	183,333.33 to 225,000 ⁸
Next LKR 500,000	24%	225,000 to 266,666.67 ⁸
Next LKR 500,000	30%	266,666.67 to 308,333.33 ⁸
Balance exceeding LKR 3,700,000	36%	Exceeding 308,333.33

Taxable Income Brackets (Y/A 2025/2026)	Tax Rate	Monthly Equivalent Brackets (LKR)
First LKR 1,800,000	0% (Personal Relief)	First 150,000 ¹
Next LKR 1,000,000	6%	150,000 to 233,333 ¹
Next LKR 500,000	18%	233,333 to 275,000 ¹
Next LKR 500,000	24%	275,000 to 316,667 ¹
Next LKR 500,000	30%	316,667 to 358,333 ¹
Balance exceeding LKR 4,300,000	36%	Exceeding 358,333 ¹

Types of Taxable Income

The computation of an individual's taxable income requires a systematic aggregation of receipts across multiple statutory heads of income⁷. Each category is governed by separate statutory inclusions, deductions, and withholding frameworks to ensure appropriate taxation at source⁷.

Employment Income

Employment income encompasses all gains and profits derived by an individual from an office or employment, including base salaries, wages, commissions, overtime, and allowances¹³. Employers are mandated to deduct Advance Personal Income Tax (APIT) at source on a monthly basis from any employee whose monthly earnings exceed LKR 150,000⁴.

- **Social Security and Pension Fund Deductibility:** The calculation of taxable employment income is directly integrated with statutory pension and provident fund contributions⁴. In Sri Lanka, the Employees' Provident Fund (EPF) and the Employees' Trust Fund (ETF) represent the core statutory retirement funds⁴. Under the APIT guidelines, the employee's mandatory 8% contribution to the EPF is fully deductible from their gross employment income prior to applying the monthly APIT tables, thereby reducing their net taxable base⁴. Conversely, employer-borne contributions are non-deductible from the employee's salary⁴.

Statutory Retirement Fund	Employer Contribution Rate	Employee Contribution Rate	Tax Deductibility for Employee PIT
Employees' Provident Fund (EPF)	12% of Gross Salary ⁴	8% of Gross Salary ⁴	Fully Deductible from Taxable Base ⁴
Employees' Trust Fund (ETF)	3% of Gross Salary ⁴	0% ⁴	Not Applicable (Entirely Employer-Borne) ⁴

- **Quantification and Valuation of Non-Cash Benefits:** Non-cash benefits in kind provided to employees must be quantified and added to the taxable employment income using standardized formulas published by the Inland Revenue Department¹³. These valuation rules, updated under circulars such as SEC/2023/E/02, prevent the tax-free masking of executive compensation through non-monetary perks¹³.

Type of Non-Cash Benefit	Valuation Parameter / Vehicle Capacity	Valuation Deemed as Monthly Benefit (LKR)
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Employer-Provided Housing [cite: 16]	Rated Area	10% of monthly remuneration or LKR 15,000, whichever is less ¹⁶
	Unrated Area	7.5% of monthly remuneration or LKR 10,000, whichever is less ¹⁶
	Estate Bungalow	Deemed at a flat LKR 15,000 ¹⁶
Employer-Provided Vehicle [cite: 16]	Vehicle + Fuel + Driver (Engine capacity $\geq$ 1500cc)	LKR 50,000 ¹⁶
	Vehicle + Fuel + Driver (Engine capacity $<$ 1500cc)	LKR 35,000 ¹⁶
	Vehicle + Fuel (Engine capacity $\geq$ 1500cc)	LKR 35,000 ¹⁶
	Vehicle + Fuel (Engine capacity $<$ 1500cc)	LKR 25,000 ¹⁶
	Vehicle + Driver (Engine capacity $\geq$ 1500cc)	LKR 30,000 ¹⁶
	Vehicle + Driver (Engine capacity $<$ 1500cc)	LKR 20,000 ¹⁶
	Vehicle Only (Engine capacity $\geq$ 1500cc)	LKR 15,000 ¹⁶
	Vehicle Only (Engine capacity $<$ 1500cc)	LKR 10,000 ¹⁶

	Flat-rate valuation (where accurate mileage records are kept)	LKR 15 per kilometer ¹⁶
Employer-Provided Motor Cycle [cite: 16, 17]	Provided with Fuel	LKR 5,000 ¹⁶
	Provided without Fuel	LKR 3,000 ¹⁶
	Flat-rate valuation (where accurate mileage records are kept)	LKR 3 per kilometer ¹⁶
Other Non-Cash Benefits [cite: 16]	Provision of domestic servants / security guards	100% of actual cost incurred by the employer ¹⁶
	Provision of Electricity and Gas	100% of actual cost incurred by the employer ¹⁶
	Private use portion of telephone bills & annual charges	50% of the cost incurred by the employer ¹⁶

- **Concessionary Rates on Terminal Benefits:** Once-and-for-all terminal benefits, such as gratuities and approved provident fund payouts, are decoupled from the progressive PIT brackets and taxed under a specialized concessionary scheduler rate structure⁸.

Cumulative Terminal Benefit Bracket (LKR)	Concessionary Tax Rate
First LKR 10,000,000	0% ⁸
Next LKR 10,000,000	6% ⁸
Balance exceeding LKR 20,000,000	12% ⁸

- **Salary Arrears Mitigation Credit:** To prevent employees from being pushed into higher marginal tax brackets due to retroactive back pay (e.g., following service suspension or disciplinary settlement), the Inland Revenue (Amendment) Act, No. 11 of 2026 introduced

an ameliorative tax credit¹⁸. Effective from January 1, 2024, taxpayers receiving arrears are eligible to claim a tax credit that recalculates their tax liability as if the arrears had been paid in the respective years they accrued¹⁸.

Business Income

Business income represents the net gains and profits generated from any commercial trade, business, or vocation⁷. While standard business profits are aggregated with other sources of income and taxed at progressive PIT rates up to 36%, specific high-yield, socially sensitive sectors are segregated and subject to high flat-rate taxes³. Commencing April 1, 2025, business income derived from conducting betting and gaming, or from the manufacture, sale, or import of any liquor or tobacco products, is taxed at a flat rate of 45% (increased from 40% in Y/A 2024/2025)³.

Professional Income

Under the Sri Lankan tax architecture, professional income is categorized as business income¹¹. However, to formalize high-earning independent professions, the government utilizes a withholding tax (WHT) mechanism under Section 85(1C)(c) of the Inland Revenue Act⁶. When an entity or corporate payer makes service fee payments to a resident individual who is not an employee, and the aggregate monthly payment exceeds LKR 100,000, the payer must deduct 5% WHT on the full payment amount⁶.

The Inland Revenue (Amendment) Act, No. 11 of 2026 significantly expanded the professional categories subject to this 5% WHT deduction, bringing informal, creative, and digital service providers into the formal tax net¹⁸.

Standard Professional Categories (Pre-2026)	Newly Incorporated Professional Categories (Effective June 3, 2026)
Academic Lecturers, Tutors, and Examiners ⁶	Personal Trainers, Sports Coaches, Physical Therapists ¹⁸
Independent Doctors, Surgeons, and Dentists ¹⁸	Counselors, Beauticians, Independent Cooks ¹⁸
Attorneys-at-Law and Legal Consultants ¹³	Photographers, Videographers, Event Organizers ¹⁸
Consulting Engineers, Architects, and Quantity Surveyors ¹⁹	Social Media Specialists, Brand Ambassadors ¹⁸
Independent Software Developers and IT Specialists ¹²	Translators, Writers, Modellers, Debt Collectors ¹⁸

Registered Corporate Auditors and Property Valuers¹⁸

Professional Sportspersons, Creative Artists, Musicians¹⁸

Investment Income

Investment income consists of dividends, interest, discounts, royalties, and capital gains from the realization of investment assets²³.

- **Dividends:** Dividend payments are subject to a 15% withholding tax at source, which functions as a final withholding tax for resident individuals⁹. This income is excluded from the calculation of assessable income on the annual individual income tax return²³.
- **Interest and Discount Income:** Commencing April 1, 2025, the non-final withholding tax (Advance Income Tax or AIT) rate on interest or discounts on deposits was doubled from 5% to 10%³. To protect low-income savers, resident individuals whose total annual assessable income from all sources does not exceed LKR 1,800,000 can submit a self-declaration to their financial institutions⁵. Upon verification, the institution is prohibited from deducting the 10% interest AIT¹². Submitting false information carries a penalty of up to LKR 200,000²².
- **Realization of Investment Assets (Capital Gains):** Capital gains on the realization of investment assets (such as land or non-listed shares) were historically taxed at 10%⁸. Under the Inland Revenue (Amendment) Act, No. 11 of 2026, the CGT rate for individuals and partnerships was increased to 15%, effective from June 3, 2026²¹. The transaction return must be treated as a self-assessment and filed within 30 days after the end of the calendar month of realization¹⁸.

Rental Income

Gross rental income derived from real property is classed as investment income¹¹. Resident individuals are entitled to a statutory rent relief deduction equal to 25% of the gross rental income to cover maintenance, repairs, and depreciation⁶. This relief is applied automatically unless the taxpayer chooses to claim actual, documented expenses instead⁶.

If rental payments are paid to a resident individual by a corporate or institutional tenant and exceed LKR 100,000 per month, a 10% WHT must be deducted on the full gross payment, which is creditable on the landlord's annual return⁶.

Foreign Income and Service Exports

Prior to April 1, 2025, all foreign-sourced income and gains earned by resident individuals from services rendered to clients outside Sri Lanka were completely exempt from income tax, provided the earnings were received in foreign currency and remitted through licensed commercial banks³⁰. Under the Inland Revenue (Amendment) Act, No. 2 of 2025, these exemptions were repealed and replaced with a capped, dual-track regime³.

- **Bank-Remitted Foreign Currency Track:** Profits from services rendered to non-resident entities to be utilized outside Sri Lanka, where payments are received in foreign currency and remitted through a licensed Sri Lankan bank, are subject to a capped marginal tax

rate of 15%³. The first LKR 1,000,000 of taxable foreign service income is taxed at 6%, with any balance capped at 15%¹⁹.

- **Unremitted / Informal Track:** Foreign-sourced income that is retained offshore or remitted through informal networks is subject to standard progressive PIT rates ranging up to 36%³⁰.

To avoid double taxation, resident individuals can claim a Foreign Tax Credit (FTC) for taxes paid abroad on such income, calculated on a source-by-source and asset-by-asset basis, regardless of whether a formal Double Taxation Avoidance Agreement (DTA) is in effect³².

Other Taxable Income

Other taxable income represents any residual taxable receipts that do not fit into the primary categories, such as lottery winnings, gambling rewards, and betting gains⁷. These winnings are subject to a final 14% withholding tax at source⁶.

Notably, effective retroactively from April 1, 2024, the Inland Revenue (Amendment) Act, No. 11 of 2026 explicitly excludes capital gains derived from the realization of personal motor vehicles (vehicles not utilized for business and not subject to tax-depreciation) from "Other Income"¹⁸. Correspondingly, losses on the sale of personal vehicles are non-deductible²².

Exempt Income and Statutory Exclusions

The Inland Revenue Act, under its Third Schedule, lists specific items of income that are excluded from the calculation of assessable income, protecting social safety nets and supporting key strategic policies²³.

Social and Retirement Exemptions

- **Government Pensions:** Retirement pensions paid by the Government of Sri Lanka or a government department are completely exempt from income tax⁶.
- **Personal Injury and Death Compensation:** Capital sums paid as compensation or gratuity for personal injuries or death are excluded from assessable income⁶.
- **Approved Provident Fund Withdrawals:** Amounts received upon retirement from any approved or regulated provident fund are exempt⁶.
- **ETF Investment Income Portion:** Amounts paid on retirement from the Employees' Trust Fund or approved pension funds, representing investment income earned by the fund for any period commencing on or after April 1, 1987, are exempt¹⁷.

Investment and Financial Exemptions

- **Listed Share Realization Capital Gains:** Gains realized on the disposal of shares quoted on the Colombo Stock Exchange (CSE) are exempt from Capital Gains Tax³¹.
- **Special Foreign Currency Accounts Interest:** Interest accruing on foreign currency accounts opened in commercial banks with the approval of the Central Bank of Sri Lanka (e.g., sum obtained from exchanging foreign currency held outside the country) is exempt²³.
- **Foreign Currency Banking Unit (FCBU) Interest:** Interest accruing on foreign currency

deposits in any FCBU is exempt²³.

- **Tax-Neutral Government Realizations:** Realizations of assets via gift or donation to the Government of Sri Lanka or a university established under the Universities Act, No. 16 of 1978, are treated as transfers at net cost, resulting in zero taxable capital gains¹⁸.

Targeted Concessionary Exemptions

- **Exempt Residential Rental Income:** Historically preserved under the transitional provisions, rental income accruing to the owner of a residential house constructed on or after April 1, 2008, with a floor area not exceeding 500 square feet, is exempt for the completion year and the subsequent four years²³. Similarly, rental income from houses under 1,500 square feet constructed on or after April 1, 2003, is exempt for the completion year and the subsequent six years³⁶.
- **The Gem Industry Exemption:** Effective April 1, 2026, the income tax exemption under paragraph (s) of the Third Schedule for the export of gold, gems, or jewellery is contingent on compliance²⁷. The National Gem and Jewellery Authority must submit a comprehensive monthly transaction return to the Inland Revenue Department within 30 days of the end of each month²⁷. Individual sellers at official auctions are subject to a 2.5% withholding tax on the sale price, which is creditable⁶.
- **Interest on Foreign Loans:** Interest derived by non-resident lenders on loans granted to Sri Lankan borrowers or the government is exempt³⁷. However, starting April 1, 2025, this exemption is restricted: the loan funds must be remitted to Sri Lanka in foreign currency through a licensed bank and used entirely within Sri Lanka¹⁸.

Exempt Income Category	Statutory Legal Source	Primary Statutory Conditions and Restrictions
Government Pensions	Third Schedule ⁶	Limited to pensions paid by the Government of Sri Lanka or a government department ⁶ .
Personal Injuries Compensation	Third Schedule ⁶	Payouts must be directly in lieu of personal injuries or death ⁶ .
Colombo Stock Exchange Gains	Third Schedule ³¹	Applicable to shares quoted in any official list licensed by the SEC of Sri Lanka ³¹ .
Foreign Currency	Third Schedule ²³	Deposits must be

Account Interest		maintained in approved Special Accounts or FCBU structures ²³ .
Foreign Loan Interest	Third Schedule ¹⁸	Funds must be remitted in foreign currency via bank and utilized in Sri Lanka (w.e.f. April 1, 2025) ¹⁸ .
Life Insurance Standard Benefits	Section 52A ³⁴	Payout must be triggered solely by death, policy maturity, or formal surrender ³⁴ .
Small Residential Rent	Transitional Provisions ²³	Limited to floor areas $\leq$ 500 sq ft for five years, or $\leq$ 1500 sq ft for seven years ²³ .

Structural Compliance, Administrative Realignments, and Enforcement

The tax authorities have complemented rate adjustments with structural reforms designed to minimize informality and modernize compliance procedures².

Discontinuation of the Statement of Estimated Tax Payable (SET)

Historically, quarterly installment payers were required to calculate and submit a Statement of Estimated Tax Payable (SET) by August 15 of each assessment year⁴¹. This forward-looking system placed a significant administrative burden on taxpayers and carried strict penalties for underestimating income⁴¹.

Effective April 1, 2026, the requirement to file a SET form is discontinued²⁷. Under the modernized framework, quarterly installments are paid based directly on the actual tax payable for the immediately preceding Year of Assessment²⁷.

If a taxpayer had no taxable income in the previous year or expects a lower taxable income in the current year, they may base payments on a current-year estimate calculated according to the guidelines specified by the Commissioner-General¹⁸.

Mandatory Taxpayer Identification Number (TIN) Verification

To reduce cash-based transactions and bring informal economic activities into the formal tax net, the TIN has been integrated into daily economic administration². Commencing the enactment of the 2026 amendments, a taxpayer's TIN is no longer treated as confidential or

secret information¹⁸.

Effective April 1, 2026, relevant officials are legally mandated to verify a valid TIN certificate before authorizing several key transactions¹⁸:

- Opening a bank account (both institutional and business)¹⁸.
- Registering land or title to land¹⁸.
- Registering a new business or registering a motor vehicle¹⁸.
- Renewing a motor vehicle license or transferring shares of a company¹⁸.
- Obtaining credit cards or getting a building plan approved¹⁸.

Cash Transaction Deductibility Restrictions

To limit cash-based transactions, strict deductibility rules are enforced²². If an individual pays LKR 500,000 or more in a single day, for a single transaction, or a series of transactions relating to a single event in cash, the payment is subject to tax penalties²⁷. Specifically, the payment cannot be deducted as an expense when calculating assessable income, and it cannot be included in the cost base of an asset for depreciation or capital gains purposes²⁷.

To preserve tax deductibility, payments must be executed via traceable channels²⁷:

- Account payee cheque or bank draft²⁷.
- Credit card or debit card²⁷.
- Electronic payment system through a bank account²⁷.
- Direct cash deposit into the payee's verified bank account²⁷.

These rules do not apply to transactions executed with government entities, commercial banks, or licensed financial institutions²².

Acceptance of Individual Returns Without Audit (The "120% Rule")

To optimize tax audit resources and incentivize compliance, the Inland Revenue (Amendment) Act, No. 11 of 2026 introduced an automated acceptance rule for personal income tax returns¹⁸. Starting from Y/A 2025/2026, an individual's tax return will be accepted exactly as filed, and no amended or additional assessment will be issued, provided the following conditions are met¹⁸:

- The return declares taxable income and is paid in full without outstanding balances or refund requests¹⁸.
- The taxpayer submits a signed affidavit confirming the absence of fraud, tax evasion, or willful default¹⁸.
- The total tax paid in the current year is not less than 120% of the tax paid for the previous Year of Assessment¹⁸.

$$\text{Tax Paid in Current Year} \geq 1.20 \times \text{Tax Paid in Previous Year}$$

Prosecution and Non-Compliance Penalties

The revised framework imposes severe penalties for administrative non-compliance, such as

failing to register for a TIN, failing to file annual statements, or ignoring an IRD summons¹⁸. The Commissioner-General of Inland Revenue must issue a written notice granting the non-compliant taxpayer 30 days to rectify the issue¹⁸. Failure to comply within this window without reasonable cause constitutes a criminal offense¹⁸. Upon conviction in a Magistrate's Court, the individual faces a fine of up to LKR 400,000, imprisonment for up to six months, or both¹⁸.

Temporary Interest Relief on Outstanding Tax Liabilities

Under Section 42 of the Inland Revenue (Amendment) Act, No. 11 of 2026, a one-off interest waiver program was introduced to clear outstanding tax disputes⁴⁴. The program covers underpayments and late payments of income tax (including APIT, AIT, and Capital Gains Tax) remaining outstanding up to the Year of Assessment ending March 31, 2025²¹.

To qualify for a complete write-off of accrued interest, the taxpayer must settle the full principal tax amount outstanding (and any un-waived penalties) on or before the statutory deadline of **December 2, 2026** (six months from the certified enactment date of the Act)⁴⁴. Any payments made as interest prior to the enactment date of June 3, 2026, are non-refundable⁴⁴.

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Taxation of Individuals in Sri Lanka: Legislative Evolution, Progressive Slabs, Advanced Personal Income Tax (APIT) Withholding, and Multi-Source Calculations for Years of Assessment 2025/2026 and 2026/2027

Structural Evolution of Individual Taxation in Sri Lanka

The fiscal landscape of Sri Lanka has undergone significant structural transformations, accelerated by the need for domestic resource mobilization under the auspices of the International Monetary Fund (IMF) Extended Fund Facility¹. The enactment of the Inland Revenue (Amendment) Act No. 02 of 2025 and the subsequent Inland Revenue (Amendment) Act No. 11 of 2026 represents a coordinated effort to broaden the tax base, simplify compliance, and enforce transparency across the formal and informal sectors of the economy³. Historically, the Advance Personal Income Tax (APIT) system—which replaced the legacy Pay-As-You-Earn (PAYE) model—has oscillated between mandatory withholding and voluntary compliance⁶. Following a period of voluntary consent between 2020 and 2022, APIT was reinstated as a mandatory monthly withholding mechanism effective January 1, 2023⁶. The transition to Year of Assessment (Y/A) 2025/2026, which commenced on April 1, 2025, introduced substantial relief for low- and middle-income earners by expanding the tax-free personal threshold². However, to offset the resulting revenue losses, the state simultaneously eliminated specific tax exemptions, restructured the progressive tax slabs, and expanded the scope of withholding taxes³.

The subsequent 2026 amendment (Act No. 11 of 2026) focused on administrative streamlining, the elimination of estimated tax filings, and aggressive measures to integrate informal transactions into the tax net through mandatory Taxpayer Identification Number (TIN) verifications⁴.

Individual Income Tax Rates, Slabs, and Reliefs

The standard tax year in Sri Lanka, known as the Year of Assessment, runs from April 1 to March 31 of the following calendar year⁶. For Y/A 2025/2026, resident individuals and non-resident individuals who are citizens of Sri Lanka are entitled to a standard personal relief (tax-free threshold) of LKR 1,800,000 per annum, which translates to LKR 150,000 per month³. This is a notable increase from the LKR 1,200,000 threshold that was in effect during the prior years of

assessment³. However, this personal relief cannot be claimed by trustees, executors, receivers, or liquidators, nor can it be set off against gains realized from the disposal of investment assets¹³.

The progressive tax system is structured into wider brackets with the notable removal of the 12% marginal tax slab⁶. This structural adjustment creates a unique fiscal dynamic: while middle-income earners benefit from a higher tax-free starting point, the marginal tax rate escalates rapidly from 6% directly to 18% once taxable income exceeds the first LKR 1,000,000 bracket¹.

The standard progressive slabs and rates effective from April 1, 2025, under Act No. 02 of 2025 are detailed below:

Annual Taxable Income Range (LKR)	Monthly Equivalent Bracket (LKR)	Marginal Tax Rate (%)
First 1,800,000	First 150,000	0% (Personal Relief / Tax-Free) ¹
Next 1,000,000	Next 83,333.33	6% ¹
Next 500,000	Next 41,666.67	18% ¹
Next 500,000	Next 41,666.67	24% ¹
Next 500,000	Next 41,666.67	30% ¹
Balance (Exceeding 4,300,000)	Balance (Exceeding 358,333.33)	36% ¹

Comparison of Legislative Regimes: Y/A 2024/2025 vs. Y/A 2025/2026

The shift in tax policy is highlighted when comparing the structural slabs of Y/A 2024/2025 against the simplified but steeper progressive structure of Y/A 2025/2026¹.

Parameter	Y/A 2024/2025	Y/A 2025/2026 & 2026/2027
Personal Relief (Annual)	LKR 1,200,000 ¹⁴	LKR 1,800,000 ³
Monthly Tax-Free Limit	LKR 100,000 ¹	LKR 150,000 ¹

First Tax Bracket	LKR 500,000 @ 6% ¹	LKR 1,000,000 @ 6% ¹
Second Tax Bracket	LKR 500,000 @ 12% ¹	Abolished (Slab removed) ⁶
Third Tax Bracket	LKR 500,000 @ 18% ¹	LKR 500,000 @ 18% ¹
Fourth Tax Bracket	LKR 500,000 @ 24% ¹	LKR 500,000 @ 24% ¹
Fifth Tax Bracket	LKR 500,000 @ 30% ¹	LKR 500,000 @ 30% ¹
Top Marginal Rate	36% on balance ¹	36% on balance ¹

Specific Statutory Reliefs and Deductions

Taxpayers may claim specific deductions to reduce their assessable income, subject to strict regulatory conditions:

- **Rent Relief:** Resident individuals earning rental income from an investment asset are entitled to a deduction equivalent to 25% of the gross rent¹³. This serves as a standardized allowance for repair, maintenance, and depreciation, and is mutually exclusive with any claims for actual expenses incurred on the property¹⁷.
- **Solar Panel Relief:** To incentivize renewable energy adoption, resident individuals who purchase solar panels connected to the national grid can deduct up to LKR 600,000 per annum¹³. This deduction covers the direct capital expenditure or bank loan repayments made to acquire the solar system¹³.
- **Qualifying Payments (Philanthropic Donations):** Deductions for donations made to approved charities, specified government institutions, or the President's Fund are capped at the lower of:

$$\text{Deduction} = \min \left(\frac{1}{3} \times \text{Taxable Income}, \text{LKR } 75,000 \right)$$

[cite: 6, 17, 18]

Under Act No. 11 of 2026, unutilized portions of donations made to specified government institutions due to insufficient assessable income can be carried forward and deducted in subsequent years of assessment⁹.

Special Tax Rates and Categorized Slabs

Certain categories of income do not follow the standard progressive tax tables but are instead subjected to special flat or concessionary rates³:

Concessionary Treatment of Service Exports and Foreign Sources

Effective April 1, 2025, the historic full income tax exemption on service exports and foreign-sourced income was officially repealed³. In its place, the legislature introduced a concessionary maximum tax rate of 15% for both companies and individuals³. This rate applies to:

- Gains and profits derived from any service rendered in or outside Sri Lanka to a foreign recipient, provided the payment is received in foreign currency and remitted to Sri Lanka through a licensed bank³.
- Gains and profits earned from any foreign source, received in foreign currency, and remitted through a licensed bank³.

High-Margin Sin Tax Brackets

To discourage betting, gaming, and the consumption of liquor and tobacco, a flat tax rate of 45% (increased from the previous 40%) is applied directly to any individual or corporate business profits derived from these activities³. This high marginal rate is levied on the total taxable profits without the benefit of progressive step-down slabs³.

Capital Gains Tax

Historically set at 10% on gains from the realization of investment assets, the Capital Gains Tax (CGT) rate was revised under the Inland Revenue (Amendment) Act No. 11 of 2026⁴. For individuals and partnerships, the rate was increased to 15%, effective from the date of enactment of the Act (June 5, 2026)⁴. For trusts, unit trusts, mutual funds, and non-governmental organizations, the CGT rate was increased to 30%⁹. Notably, gains from the disposal of a personal motor vehicle (not used in business) remain entirely exempt from capital gains tax⁹.

The Advance Personal Income Tax (APIT) System and Structured Tables

The APIT system functions as a progressive withholding tax mechanism on employment income⁶. Employers are legally obligated to compute and deduct APIT from employees' regular monthly earnings and remit it to the Inland Revenue Department (IRD) on or before the 15th day of the following month⁶. To handle different employment dynamics and income types, the IRD utilizes eight distinct APIT tax tables⁶.

Overview of Statutory APIT Tax Tables (Y/A 2025/2026 onwards)

The withholding architecture utilizes specialized tables to maintain accurate tax retention across different types of income:

Table Identifier	Scope of Application and Regulatory Function
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Table 01	Regular monthly salary deductions for primary employment ⁷ .
Table 02	Rates for tax deduction on lump-sum payments (e.g., bonuses, commissions, and incentives) ⁶ .
Table 03	Rates for once-and-for-all terminal payments (pension commutations, retiring gratuities, compensation) ²³ .
Table 04	Deductions from employment profits of non-resident employees who are non-citizens ²³ .
Table 05	Cumulative tax table for employees joining mid-year, retiring, or with fluctuating incomes ¹² .
Table 06	Tax-on-tax rates applied when the employer bears the employee's tax burden ⁷ .
Table 07	Secondary employment deductions for individuals working multiple jobs ⁷ .
Table 08	Cumulative employment income calculations to track cumulative annual liabilities ²⁶ .

Regular Monthly Tax Deductions: Table 01

Under Table 01, the monthly personal relief of LKR 150,000 is built into the calculation¹. The formulas for monthly withholding based on gross regular monthly employment profits (after accounting for deductible statutory employee contributions) are structured as follows:

Monthly Taxable Remuneration (M) (LKR)	Monthly APIT Formulation (LKR)
$0 \leq M \leq 150,000$	Nil [cite: 1, 12]
$150,000 < M \leq 233,333$	$(M \times 6\%) - 9,000$

	[cite: 1, 12]
$233,333 < M \leq 275,000$	$(M \times 18\%) - 37,000$ [cite: 1, 12]
$275,000 < M \leq 316,667$	$(M \times 24\%) - 53,500$ [cite: 1, 12]
$316,667 < M \leq 358,333$	$(M \times 30\%) - 72,500$ [cite: 1, 12]
$M > 358,333$	$(M \times 36\%) - 94,000$ [cite: 1, 12]

Lump-Sum Payments: Table 02 EGAR Method

For lump-sum payments such as incentives or bonuses, tax is calculated using the Estimated Gross Aggregate Remunerations (EGAR) method to prevent structural under-withholding⁶. The calculation steps are defined as:

$$D = A + B + C$$

²⁷

- Where A is the gross aggregate monthly remuneration already paid in the tax year²⁷.
- Where B is the gross aggregate monthly remuneration payable for the remainder of the tax year²⁷.
- Where C is the gross aggregate lump-sum payments already made or currently being paid²⁷.
- Where D is the Estimated Gross Aggregate Remuneration (EGAR)²⁷.

The tax payable on the lump-sum is determined by applying the progressive rates to D and subtracting the tax already deducted or deductible on regular monthly salaries and prior lump-sums²⁷.

Secondary Employment Deductions: Table 07

Employees working multiple jobs or who have not submitted a primary employment declaration

are taxed on secondary income under Table 07⁷. Resident individuals are taxed at rates progressively scaling from 6% to 36% based on their primary salary bracket²⁵, while non-residents are taxed at a flat rate of 36%⁷.

Primary Salary Range (LKR)	Secondary Employment Tax Rate (%)
0 –	6% ²⁵
150,001 –	18% ²⁵
233,334 –	24% ²⁵
275,001 –	30% ²⁵
358,334 and above	36% ²⁵

Statutory Social Security Framework: EPF and ETF

Retirement benefits in Sri Lanka are primarily regulated through the Employees' Provident Fund (EPF) Act and the Employees' Trust Fund (ETF) Act⁶. Contributions are calculated as a percentage of the employee's eligible gross earnings (basic salary plus applicable allowances) without any statutory ceiling or cap⁶.

Deductibility of Employee EPF Contributions

A critical aspect of the personal tax regime is that the employee's mandatory 8% EPF contribution is fully deductible from their gross employment income prior to the calculation of monthly APIT⁶. This direct tax relief lowers the individual's overall monthly taxable income base⁶. In contrast, the employer's statutory contributions (12% EPF and 3% ETF) are treated as additional costs of employment borne entirely by the employer and do not constitute taxable income or deductions for the employee⁶.

Contribution Type	Paid By	Statutory Rate (%)	Deductibility from Employee Income
Employee EPF	Employee (Deducted from gross salary) ²²	8% of gross salary ⁶	Fully deductible before computing APIT ⁶
Employer EPF	Employer (Over and	12% of gross salary ⁶	Non-taxable to

	above gross salary) ²⁸		employee; deductible corporate expense ¹¹
Employer ETF	Employer (Over and above gross salary) ²⁸	3% of gross salary ⁶	Non-taxable to employee; deductible corporate expense ⁶
Total Statutory Cost	Combined contribution ⁶	23% of gross salary ⁶	LKR 8,000 net deduction per LKR 100,000 gross ²⁸

Worked Tax Calculations and Examples

The practical application of the progressive system, statutory reliefs, and social security deductions can be demonstrated through three detailed scenarios.

Worked Calculation 1: Monthly APIT and Payroll for a Resident Salaried Individual

This scenario analyzes the tax position of a resident individual earning a regular gross monthly salary of LKR 300,000 during Y/A 2025/2026. The employee has submitted their primary employment declaration to their employer⁷.

Step 1: Compute Mandatory Social Security Contributions

- **Gross Salary (G):** LKR 300,000²⁸
- **Employee EPF Contribution (8%):**

$$\text{Employee EPF} = \text{LKR } 300,000 \times 0.08 = \text{LKR } 24,000$$

[cite: 6, 28]

- **Employer EPF Contribution (12%):**

$$\text{Employer EPF} = \text{LKR } 300,000 \times 0.12 = \text{LKR } 36,000$$

[cite: 6, 28]

- **Employer ETF Contribution (3%):**

$$\text{Employer ETF} = \text{LKR } 300,000 \times 0.03 = \text{LKR } 9,000$$

[cite: 6, 28]

- **Total Cost to Company (CTC):**

$$\text{CTC} = G + \text{Employer EPF} + \text{Employer ETF} = 300,000 +$$

[cite: 28]

Step 2: Determine Taxable Employment Income

The employee's 8% EPF contribution is deducted from their gross salary before calculating APIT⁶:

$$\text{Monthly Taxable Employment Income } (M) = \text{LKR } 300,000 -$$

[cite: 6, 28]

Step 3: Compute Monthly APIT Using Table 01 Formulas

Since M falls between LKR 275,000 and LKR 316,667, the corresponding Table 01 formula is applied¹²:

$$\text{Monthly APIT} = (M \times 24\%) - \text{LKR } 53,500$$

¹²

$$\text{Monthly APIT} = (\text{LKR } 276,000 \times 0.24) - \text{LKR } 53,500$$

$$\text{Monthly APIT} = \text{LKR } 66,240 - \text{LKR } 53,500 = \text{LKR } 12,740$$

Step 4: Net Monthly Take-Home Pay

$$\text{Net Take-Home Pay} = G - \text{Employee EPF} - \text{APIT}$$

22

$$\text{Net Take-Home Pay} = 300,000 - 24,000 - 12,740 = \text{LKR } 263$$

Worked Calculation 2: Table 02 EGAR Method for Lump-Sum Payments

This scenario computes the tax deductible on a lump-sum incentive paid in April 2025 to an employee earning a regular gross monthly remuneration of LKR 170,000, who receives a one-time performance bonus of LKR 600,000²⁷.

Step 1: Compute Estimated Gross Aggregate Remunerations (EGAR)

- A (Gross monthly remunerations paid): $170,000 \times 1 = \text{LKR } 170,000$ ²⁷.
- B (Gross monthly remunerations payable):
 $170,000 \times 11 = \text{LKR } 1,870,000$ ²⁷.
- C (Lump-sum payment): LKR 600,000²⁷.
- D (Estimated Gross Aggregate Remunerations):

$$D = A + B + C = 170,000 + 1,870,000 + 600,000 = \text{LKR}$$

27

Step 2: Compute Regular Monthly Tax Payable under Table 01

Using Table 01 for a monthly remuneration of LKR 170,000 ($150,000 < M \leq 233,333$)¹²:

$$\text{Monthly Tax} = (170,000 \times 6\%) - 9,000 = 10,200 - 9,000 = \text{LKR } 1,200$$

12

- **Aggregate tax on A (1 month):** $\text{LKR } 1,200 \times 1 = \text{LKR } 1,200$ ²⁷.
- **Aggregate tax deductible on B (11 months):**
 $\text{LKR } 1,200 \times 11 = \text{LKR } 13,200$ ²⁷.
- **Prior Lump-Sum Tax:** $\text{LKR } 0$ ²⁷.

Step 3: Compute Tax on Lump-Sum using Table 02 Bracket Formula

Since D falls between LKR 1,800,001 and LKR 2,800,000, the corresponding Table 02 formula is²⁷:

$$\text{Tax Payable} = (D \times 6\%) - [108,000 + \text{Aggregate Monthly Tax}]$$

27

$$\text{Tax Payable} = (2,640,000 \times 0.06) - [108,000 + 1,200 + 13,200]$$

27

$$\text{Tax Payable} = 158,400 - 122,400 = \text{LKR } 36,000$$

27

Thus, the employer must withhold LKR 36,000 from the LKR 600,000 lump-sum bonus²⁷.

Worked Calculation 3: Multi-Source Annual Income Tax for a Resident Professional

This scenario calculates the annual tax liability for Dr. Wasumathi, a resident surgeon, for Y/A 2025/2026¹⁷.

Profiles of Multi-Source Revenue:

- **Employment Income:** LKR 9,200,000 (subject to APIT withholding of LKR 2,430,000)¹⁷.

- **Business Income:** LKR 31,500,000 (comprising LKR 31,000,000 from a medical center and LKR 500,000 from private consultations)¹⁷. No 5% WHT was deducted from the private consultation income because the monthly billing did not exceed the LKR 150,000 threshold¹³.
- **Interest Income:** LKR 5,000,000 (from fixed deposits; Advance Income Tax was withheld at source at the rate of 10%, totaling LKR 500,000)¹⁷.
- **Rental Income:** LKR 900,000 (gross rent from residential property)¹⁷.
- **Philanthropic Contribution:** LKR 200,000 (made to a government-approved orphanage)¹⁷.

Step 1: Calculate Total Estimated Assessable Income

- **Employment Income:** LKR 9,200,000¹⁷
- **Business Income:** LKR 31,500,000¹⁷
- **Interest Income:** LKR 5,000,000¹⁷
- **Rental Income:** LKR 900,000¹⁷
- **Total Assessable Income:**

$$\text{Assessable Income} = 9,200,000 + 31,500,000 + 5,000,000$$

¹⁷

Step 2: Apply Reliefs and Deductions

- **Personal Relief:** LKR 1,800,000¹³.
- **Rent Relief (25% on Investment Rental Property):**

$$\text{Rent Relief} = \text{LKR } 900,000 \times 25\% = \text{LKR } 225,000$$

¹³

- **Qualifying Payments (Charity Donation):** The actual donation is LKR 200,000¹⁷. However, the statutory deduction is capped at the lower of 1/3 of the taxable income or LKR 75,000⁶. Thus, the allowable deduction is LKR 75,000¹⁷.

Step 3: Compute Net Estimated Taxable Income

$$\text{Taxable Income} = \text{Assessable Income} - \text{Personal Relief} - \text{Rent}$$

$$\text{Taxable Income} = 46,600,000 - 1,800,000 - 225,000 - 75,000$$

17

Step 4: Compute Gross Estimated Annual Tax Liability

Using the progressive slabs for Y/A 2025/2026³:

- **First LKR 1,000,000 @ 6%:** LKR 60,000¹⁵
- **Next LKR 500,000 @ 18%:** LKR 90,000³
- **Next LKR 500,000 @ 24%:** LKR 120,000³
- **Next LKR 500,000 @ 30%:** LKR 150,000³
- **Remaining Balance @ 36%:**

$$\text{Remaining Balance} = \text{LKR } 44,500,000 - \text{LKR } 2,500,000$$

17

$$\text{Tax on Balance} = \text{LKR } 42,000,000 \times 0.36 = \text{LKR } 15,120,000$$

17

- **Gross Estimated Tax Liability:**

$$\text{Gross Tax} = 60,000 + 90,000 + 120,000 + 150,000 + 15,120,000$$

17

(Note: Official source materials sometimes contain a typographical error where they display the first slab's tax calculation as "1,000,000 x 6% = 30,000" but correctly sum the total tax liability as LKR 15,540,000¹⁷. The correct mathematical application of the 6% rate on LKR 1,000,000 yields LKR 60,000, which is the figure used in the final summation of the tax liability¹⁵.)

Step 5: Apply Withheld Tax Credits to Determine Net Tax Payable

- **Gross Estimated Tax Liability:** LKR 15,540,000¹⁷
- **Less: Estimated APIT Deducted by Employer:** LKR (2,430,000)¹⁷
- **Less: Advance Income Tax (AIT) Deducted on Interest at 10%:** LKR (500,000)¹⁷
- **Net Estimated Tax Payable via Quarterly Installments:**

$$\text{Net Tax Payable} = 15,540,000 - 2,430,000 - 500,000 =$$

Withholding Tax (WHT) and Advance Income Tax (AIT) Regimes

The state has significantly expanded the withholding tax apparatus to capture transaction-level data and enforce early tax collection at source⁹. This approach minimizes tax evasion by shifting the burden of compliance onto withholding agents such as financial institutions and corporate clients⁹.

Significant Upward Adjustment of Interest WHT/AIT

The withholding tax rate on interest or discounts paid to resident individuals was doubled from 5% to 10% effective April 1, 2025³. This change primarily impacts retirees and individuals who rely on interest income from fixed deposits¹.

To protect vulnerable low-income earners, taxpayers whose total income is below the LKR 1.8 million tax-free threshold can submit a self-declaration form to their bank⁹. This declaration exempts their interest income from automatic AIT deductions⁹. However, the law imposes strict penalties—including a fine of up to LKR 200,000—for any false declarations submitted to evade tax⁹.

Summary of Key Withholding and Advance Income Tax Rates

The withholding rates on payments made to resident and non-resident persons highlight the differences between domestic transactions and cross-border remittances:

Nature of Payment	Resident Payee Rate (%)	Non-Resident Payee Rate (%)
Interest or Discounts on Deposits	10% (Effective April 1, 2025) ³	Subject to statutory DTAA rules ¹³
Dividends	15% (Final withholding tax) ¹³	15% ¹³
Rent Payments	10% (if exceeding LKR 100,000/month) ¹³	14% ¹³
Royalty Payments	14% ¹³	14% ¹³

Independent Service Provider (ISP) Fees	5% (if exceeding LKR 100,000/month) ¹³	14% ¹³
Gem Sales at Auctions	2.5% ¹³	2.5% ¹³
Natural Resource Payments	14% ¹³	14% ¹³

Administrative Compliance, Reform Procedures, and Enforcement

The Inland Revenue (Amendment) Act No. 11 of 2026 introduced significant procedural updates designed to reduce administrative red tape while strengthening enforcement⁴.

Mandatory Integration of the Taxpayer Identification Number (TIN)

Effective April 1, 2026, the government introduced a mandatory requirement to verify a person's TIN before executing several common civil and financial transactions⁴. This policy is designed to bring informal economy transactions into the formal banking and tax networks⁹.

Transactions Requiring Mandatory TIN Verification

The mandatory use of the TIN ensures that major wealth transfers and financial services are tracked by the tax authority:

Transaction Category	Regulatory Action Trigger
Banking Services	Opening any institutional or business bank account, or securing credit cards ⁹ .
Real Estate Transactions	Registering land ownership or transferring land titles ⁹ .
Motor Vehicles	Registering a motor vehicle or renewing a vehicle license ⁹ .
Business Ventures	Registering a new business or transferring shares of an incorporated company ⁹ .
Urban Development	Obtaining approval for building plans from relevant local authorities ⁹ .

Acceptance of Returns Under the "No Audit" Safe Harbor

To encourage voluntary compliance and reduce tax disputes, the legislature introduced a safe harbor provision starting with returns filed for the year of assessment commencing April 1, 2025⁹. An individual's tax return will be accepted as filed, without the risk of an amended or additional assessment being issued, provided that:

- The return is submitted declaring taxable income, and the tax paid is at least 120% of the tax payable in the previous year⁹.
- The full tax liability is paid in full, and no refund is claimed⁹.
- The taxpayer provides an affidavit confirming that no tax fraud, evasion, or willful default was committed⁹.

Refund Processing Improvements

The mechanism for issuing refunds was revised under Act No. 02 of 2025 to ensure timely payments³. Standard refund claims of up to LKR 180,000 submitted by resident individuals will be processed and issued within three months of the claim, prior to a tax audit³. Senior citizens are entitled to quarterly refunds if their claims are under LKR 45,000 per quarter, also processed prior to an audit³. Additionally, the time limit to apply for refund claims was reduced from four years to 30 months from the last date of the relevant assessment year³.

Write-off of Outstanding Interest

To clear outstanding tax backlogs, Act No. 11 of 2026 empowers the CGIR to write off outstanding interest on underpayments and late payments chargeable up to the Year of Assessment ending March 31, 2025⁴. Taxpayers can avail themselves of this interest waiver provided they pay their outstanding principal tax and accrued penalties in full within six months of the Act's operation⁴.

Macro-Fiscal Implications and Strategic Perspectives

The legislative updates enacted in 2025 and 2026 extend beyond simple revenue collection, creating secondary effects across the broader Sri Lankan economy:

Impact on High-Value and Knowledge-Based Industries

The removal of tax exemptions on service exports is a major policy shift, particularly for the information technology (IT) and business process outsourcing (BPO) sectors². While the 15% concessionary maximum tax rate softens the immediate impact, the sudden introduction of a tax liability on previously exempt foreign currency earnings represents a new cost of doing business². This change may affect Sri Lanka's competitiveness compared to other regional technology hubs, potentially prompting freelance professionals and technology firms to consider relocating or restructuring their operations.

Rechanneling of Capital into the Formal Banking Sector

The mandatory requirement to provide a TIN for standard financial transactions (such as opening bank accounts or obtaining credit cards) acts as a strong deterrent against the use of unregistered or parallel cash economies⁹. This requirement, combined with the LKR 500,000 daily limit on physical cash transactions, incentivizes businesses to utilize traceable payment

channels (including bank transfers, credit/debit cards, and cheques)²⁰. While these measures may temporarily increase compliance costs for small and medium enterprises (SMEs), they are expected to significantly increase national tax compliance and boost deposit growth in the formal banking sector over the medium term.

Transition in Tax Collection and Enforcement Costs

The discontinuation of the Statement of Estimated Tax Payable (SET) reduces the paperwork burden for individual taxpayers⁴. However, the concurrent expansion of withholding taxes to 29 new categories of independent service providers shifts the collection burden onto withholding agents⁹. This regulatory approach effectively turns private companies, hospitals, educational institutes, and banks into primary tax enforcement agents. While this system ensures a steady stream of revenue for the state, it increases administrative overhead and operational complexity for businesses across Sri Lanka.

Conclusions

The personal income tax amendments implemented in Sri Lanka for Y/A 2025/2026 and Y/A 2026/2027 reflect a balanced fiscal approach, combining targeted relief for lower-income brackets with a broader tax base and stronger compliance measures⁵. By increasing the personal relief threshold to LKR 1,800,000, the state has protected low-income earners from inflation-driven bracket creep². At the same time, the removal of exemptions on foreign earnings and the direct transition from a 6% to an 18% marginal tax slab ensure that higher-income earners contribute a larger share to the national treasury³.

On the administrative front, the discontinuation of the SET form and the introduction of the "no-audit" safe harbor represent steps toward simplifying the tax system⁴. Conversely, the mandatory TIN requirements for everyday transactions and the expanded professional withholding taxes signal a more rigorous approach to enforcement⁴. For individual taxpayers, navigating this updated system requires a clear understanding of deductible expenses (such as employee EPF contributions), available reliefs (such as rent and solar panel allowances), and the specific withholding tax regulations governing multi-source income streams⁶.

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Comprehensive Analysis of the Sri Lankan Personal Income Tax Framework: Assessment Year 2025/2026

The fiscal landscape of Sri Lanka has undergone significant structural transformations, driven by macro-economic stabilization efforts, revenue mobilization targets under international fiscal programs, and legislative reforms¹. The primary legislative authority for income taxation is the Inland Revenue Act, No. 24 of 2017². This framework has been heavily modified by subsequent amendments, most notably the Inland Revenue (Amendment) Act, No. 02 of 2025, and the Inland Revenue (Amendment) Act, No. 11 of 2026³. For the Assessment Year (Y/A) 2025/2026, which spans from April 1, 2025, to March 31, 2026, these legislative interventions have fundamentally altered tax slabs, reliefs, withholding regimes, compliance procedures, and payment mechanics⁵.

Legislative Foundations and Economic Context

The progressive restructuring of the Sri Lankan tax regime serves as a core policy instrument for economic stabilization¹. Following the acute economic crises of prior years, the Government of Sri Lanka, in alignment with international financial stabilization frameworks, has systematically sought to enhance domestic revenue mobilization¹. A key strategic objective of these reforms is a gradual shift in the direct-to-indirect tax ratio from approximately 25:75 to a more equitable target of 40:60⁸.

This policy direction explains the transition from the generous tax concessions introduced by the Inland Revenue (Amendment) Act, No. 10 of 2021—which had raised the tax-free threshold to LKR 3 million and lowered marginal rates—to the increasingly stringent structures of subsequent amendments². While the economy stabilized in 2025, recording real GDP growth and an expansion of foreign reserves, localized disruptions such as Cyclone Ditwah in late 2025 and early 2026 created immediate fiscal pressures⁹. Consequently, the legislative framework for Y/A 2025/2026 represents a careful balancing act: providing relief to lower-income and middle-income earners while eliminating broad exemptions on foreign currency earnings and high-margin business sectors to secure state revenues¹¹.

Reliefs, Deductions, and Residency Adjustments

The calculation of individual taxable income under the Inland Revenue Act requires a systematic determination of assessable income, followed by the deduction of statutory reliefs and qualifying payments¹⁴. For Y/A 2025/2026, the qualifying parameters for these deductions have been revised to tighten transaction monitoring and incentivize specific energy and charitable sectors¹⁷.

Personal Relief Thresholds

Under Section 52 of the principal enactment, as amended by the Inland Revenue (Amendment) Act, No. 02 of 2025, the annual personal tax-free relief has been raised to LKR 1,800,000, which translates to a monthly threshold of LKR 150,000⁵. This represents a significant upward adjustment from the LKR 1,200,000 annual relief applicable in the preceding tax year³.

Residency & Citizenship Status	Annual Personal Relief (LKR)	Application Parameters and Statutory Exclusions
Resident Individual (Citizen or Non-Citizen)	LKR 1,800,000 ³	Deductible against global assessable income, excluding gains from the realization of investment assets ³ . This relief cannot be claimed by an individual in their capacity as a trustee, receiver, executor, or liquidator ³ .
Non-Resident, Citizen of Sri Lanka	LKR 1,800,000 ³	Subject to identical parameters and exclusions as resident individuals ³ .
Non-Resident, Non-Citizen Individual	Nil ²²	Subject to withholding tax at source on all Sri Lankan-source gains and profits without the application of any tax-free threshold or personal relief ³ .

Allowable Deductions and Capital Expenditure Relief

Individual taxpayers carrying on a business, profession, or investment activity can claim deductions for expenditures incurred in the production of taxable income³. However, these are subject to statutory limits and compliance requirements¹⁷:

- **Cash Transaction Restriction Rule:** Under Section 10 of the Act, any business or investment expenditure amounting to LKR 500,000 or more in a single day, for a single transaction or a series of transactions relating to a single event, must be settled through traceable banking channels¹⁷. Acceptable methods include account payee cheques, account payee bank drafts, credit cards, debit cards, or electronic payment systems linked directly to bank accounts¹⁷. If raw cash is used, the expenditure is entirely disallowed as a tax deduction and cannot be included in the cost base of any asset¹⁷. A

retroactively effective amendment clarifies that depositing cash directly into the recipient's bank account (effective from May 8, 2023) is a permitted deduction channel, and these cash restrictions do not apply to payments made to the Government of Sri Lanka or licensed financial institutions¹⁷.

- **Residential Solar Installation Relief:** To encourage green energy adoption, a resident individual who acquires a solar panel system to fix on their premises and connects it to the national grid is entitled to deduct LKR 600,000 for each year of assessment¹⁸. This deduction is capped at the total expenditure incurred on the solar panels or the amounts paid to a bank to service a loan obtained for the acquisition¹⁸.
- **Investment Asset Rent Relief:** Resident individuals deriving rental income from investment properties are entitled to a standard deduction of 25% of the total gross rental income for the year of assessment¹⁸. This standard deduction serves as a statutory allowance for repairs, maintenance, and depreciation, and cannot be claimed if the taxpayer elects to deduct actual incurred expenses instead²⁰.
- **PE Head Office Expenses:** For non-resident individuals operating a business in Sri Lanka through a Permanent Establishment (PE), deductions for head office expenditures are restricted¹⁷. Effective April 1, 2025, the deductible amount is limited to the lesser of the actual head office expenses incurred or 10% of the PE's assessable income¹⁷.

Qualifying Payments and State Donations

Qualifying payments represent specific outflows that can be deducted from assessable income remaining after reliefs¹⁴. For individuals, donations in money to approved charitable

institutions are deductible up to the lesser of one-third ($\frac{1}{3}$) of the taxable income for that year or LKR 75,000¹⁵. Charitable institutions are defined to include social service organizations registered under applicable law that provide healthcare facilities in collaboration with state health or educational services¹⁹.

Under the Inland Revenue (Amendment) Act, No. 11 of 2026, a critical carry-forward mechanism was introduced for donations made to the Government of Sri Lanka or prescribed state institutions⁴. Effective for any year of assessment commencing on or after April 1, 2025, if a donation to the state cannot be fully deducted in the current year because the taxpayer's assessable income is insufficient, the unutilized balance may be carried forward and deducted from the assessable income in succeeding years of assessment¹⁷.

Residency Rule Modifications

The criteria for determining tax residency have been adjusted to reflect global mobility trends and attract high-net-worth investors¹⁷:

- **Maritime Employment Residency:** An individual who is deemed a resident of Sri Lanka solely due to employment on a Sri Lankan ship, but who is a citizen or subject of another country, is exempt from income tax as a resident individual, except on the income derived from employment on that specific ship¹⁷.
- **Investor Category Residence Visa:** Effective April 1, 2025, the legislative references to

the "Golden Paradise Residence Visa" are updated to the "Investor Category Residence Visa"²⁹. Individuals holding this visa are classified as non-residents of Sri Lanka for tax purposes, shielding their foreign-source income from the domestic tax net¹⁷.

- **Foreign Employment Residency Exclusion:** An individual who departs Sri Lanka for foreign employment under a contract of at least one year with an employer that is not associated with their immediate Sri Lankan employer is treated as a non-resident of Sri Lanka for tax purposes during that period, effective April 1, 2025¹⁷. This prevents physical absence from triggering standard resident tax rules on their overseas earnings³.

Progressive Tax Slabs and Entity Rates

Sri Lanka maintains a progressive personal income tax structure for individuals, alongside special rates for targeted commercial activities and non-corporate entities¹¹.

Individual Income Tax Slabs

The progressive tax slabs applicable to the taxable income of resident individuals and non-resident citizen individuals for Y/A 2025/2026 are structured as follows¹¹:

Cumulative Annual Taxable Income (LKR)	Marginal Tax Rate (%)	Cumulative Tax Payable at Upper Limit (LKR)
First 1,800,000	0% (Personal Relief Allowance) ¹	Nil ¹
Next 1,000,000 (from LKR 1,800,001 to 2,800,000)	6% ¹	LKR 60,000 ²⁰
Next 500,000 (from LKR 2,800,001 to 3,300,000)	18% ¹	LKR 150,000 ²⁰
Next 500,000 (from LKR 3,300,001 to 3,800,000)	24% ¹	LKR 270,000 ²⁰
Next 500,000 (from LKR 3,800,001 to 4,300,000)	30% ¹	LKR 420,000 ²⁰
Balance exceeding 4,300,000	36% ¹	<i>Variable dependent on excess</i> [cite: 20, 30]

The structural deletion of the prior 12% intermediate tax slab means that individual taxable income exceeding LKR 2.8 million is subjected to a steep marginal rate jump from 6% directly to

18%⁶.

Non-Individual Entity Tax Rates

To prevent personal tax avoidance through intermediate structures, the tax rates for partnerships, trusts, and mutual funds are strictly defined¹⁸:

Entity Classification	Taxable Income Slabs and Nature of Income	Applicable Income Tax Rate (%)
Partnership	Taxable income up to LKR 1,000,000 ¹⁸	0% ¹⁸
	Taxable income exceeding LKR 1,000,000 ¹⁸	6% on the excess ¹⁸
	Gains from the realization of investment assets ¹⁸	10% ¹⁸
Trust	Standard taxable income of a trust ¹⁸	30% ¹⁸
	Gains from the realization of investment assets ¹⁸	10% ¹⁸
Unit Trust / Mutual Fund	Standard taxable income (if Section 59 of the Act applies) ¹⁸	30% ¹⁸
	Gains from the realization of investment assets ¹⁸	10% ¹⁸
Charitable Institution	Taxable income of an approved charity ¹⁸	14% ¹⁸
	Gains from the realization of investment assets ¹⁸	10% ¹⁸
Retirement & Welfare Funds	Taxable income of Employee Trust Funds (ETF), Provident, Pension, approved Gratuity or Termination Funds ¹⁸	14% ¹⁸

	Taxable income derived from Treasury Bonds ¹⁸	30% ¹⁸
Non-Governmental Org. (NGO)	Taxable income of a registered NGO ¹⁸	30% ¹⁸
	Standard 3% levy on the gross amount received via grants, donations, or contributions ¹⁸	30% ¹⁸

Special Activities and Concessionary Rates

The statutory framework imposes targeted flat and concessionary rates to capture revenue from high-yield or offshore sources¹¹:

- **Betting, Gaming, Liquor, and Tobacco (Sin Taxes):** Effective April 1, 2025, gains and profits derived from conducting betting and gaming, or from the manufacture, sale, or import of liquor and tobacco products, are taxed at a flat rate of **45%**¹¹. This rate applies uniformly to both companies and individuals¹¹.
- **Foreign Currency Remittance Concession:** Effective April 1, 2025, previous absolute exemptions for service exports and foreign-sourced income were removed¹¹. For Y/A 2025/2026, a capped concessionary rate of **15%** applies to gains and profits earned from services rendered in or outside Sri Lanka to be utilized outside the country, or from any foreign source¹¹. To qualify for this concessionary rate, the earnings must be received in foreign currency and remitted to Sri Lanka through a bank¹¹. If these remittance conditions are not met, standard progressive rates up to 36% apply⁵.

Withholding Tax and Advance Income Tax

Withholding Tax (WHT) and Advance Income Tax (AIT) serve as critical pre-collection mechanisms for the Inland Revenue Department². Effective April 1, 2025, the rates and scopes of these deductions have been significantly expanded¹¹.

Standard Withholding and Advance Income Tax Rates

The applicable rates for withholding and advance deductions from April 1, 2025, are structured as follows¹⁸:

Nature of Payment	Residency Status of Payee	Applicable AIT / WHT Rate (%)
Interest or Discounts	Resident or Non-Resident ¹²	10% ¹¹

Dividends	Resident or Non-Resident	15% ¹⁸
Rent Payments (if aggregate exceeds LKR 100,000 per month)	Resident Person ¹⁸	10% on full payment ¹⁸
Rent Payments	Non-Resident Person ¹⁸	14% ¹⁸
Lottery Winnings, Rewards, Betting / Gambling	Resident or Non-Resident	14% ¹⁸
Royalties, Charges, and Natural Resource Payments	Resident or Non-Resident	14% ¹⁸
Service Fees / Insurance Premiums	Non-Resident Person ¹⁸	14% ¹⁸
International Transport & Telecommunications (Sec. 85(2))	Non-Resident Person ¹⁸	2% ¹⁸
Gem Sales at National Gem & Jewellery Authority Auctions	Resident or Non-Resident	2.5% on sale price ¹⁸

Double Tax Avoidance Agreements (DTAA) concluded between Sri Lanka and partner countries take precedence over the domestic rates listed above for payments to non-resident persons, provided a valid certificate of residency is produced¹⁸.

Self-Declaration for Low-Income Depositors

To prevent tax-at-source on individuals who do not have taxable income, a self-declaration mechanism is available¹². A resident individual whose total annual assessable income from all sources is below the LKR 1,800,000 threshold can submit a formal self-declaration using Form ISD/WHT/01-E or ISD/WHT/02-E to their bank or financial institution¹². Upon receipt of this declaration, the financial institution is prohibited from deducting the 10% AIT on interest or discounts earned¹². However, submitting a false or misleading self-declaration carries an administrative penalty of up to LKR 200,000¹⁷.

Withholding on Independent Service Providers

Under Section 85 of the Act, service fee payments exceeding LKR 100,000 per calendar month made to a resident individual who is not an employee of the payer are subject to a **5% WHT on the full payment**¹⁸. The Inland Revenue (Amendment) Act, No. 11 of 2026, expanded this professional withholding pool to include:

1. **Educators & Examiners:** Lecturers, teachers, invigilators, and examination supervisors¹⁸.
2. **Commercial Agents:** Insurance agents, sales agents, and canvassing agents¹⁸.
3. **Licensed Professionals:** Auditors, lawyers, accountants, doctors, dentists, veterinarians, and valuers¹⁷.
4. **Creative & Media Sectors:** Artists, actors, dancers, singers, musicians, event organizers, photographers, videographers, social media specialists, and brand ambassadors¹⁷.
5. **Technical & Digital Fields:** Software developers, IT specialists, researchers, academics, translators, and writers¹⁸.
6. **Personal Care & Services:** Personal trainers, coaches, therapists, counsellors, beauticians, cooks, and electricians¹⁷.

Withholding agents must issue WHT certificates to payees at no cost¹⁷. Failing to issue these certificates or submitting false statements to the IRD can result in a corporate penalty of up to LKR 200,000 per year of assessment¹⁷.

Advance Personal Income Tax (APIT) Administration

The APIT system functions as a mandatory payroll tax withholding system⁶. Employers must calculate and deduct the appropriate tax from employee salaries monthly and remit it to the IRD⁶.

Statutory APIT Tables

The IRD has issued eight distinct APIT Tables for Y/A 2025/2026 to govern different employment and residency scenarios⁷:

- **Table 01 (Primary Employment Regular Income):** Used for resident employees and non-resident citizen employees who have submitted a Primary Employment Declaration confirming their monthly regular taxable profits exceed LKR 150,000⁷.
- **Table 02 (Lump-sum Payments):** Applied to non-recurring payments such as bonuses, gratuities, and discretionary commissions⁶. This table utilizes the Estimated Gross Aggregate Remuneration (EGAR) model to project the employee's total annual earnings and apply the corresponding progressive marginal rate³³.
- **Table 03 (Once-and-for-all Payments):** Used for the calculation of terminal benefits, such as redundancy pay, gratuity, and approved pension payouts²².
- **Table 04 (Non-Citizen, Non-Resident Employees):** Designed for expatriates working in Sri Lanka⁷. It applies progressive rates from 6% to 36% through tiered calculations, without the benefit of the LKR 1.8 million personal relief⁷.
- **Table 05 (Cumulative Gains and Profits):** Applied to employees whose monthly income is variable or where cumulative profits during the tax year exceed LKR 1,800,000 mid-year, requiring adjusting deductions²³.

- **Table 06 (Tax-on-Tax Rates):** Utilized when an employer agrees to absorb the employee's APIT liability⁷. In such cases, the benefit must be grossed up, with marginal tax-on-tax withholding rates reaching up to 56.25%⁷.
- **Table 07 (Secondary Employment):** Applied to employees who have not furnished a Primary Employment Declaration, are engaged in secondary employment, or have multiple concurrent jobs²².
- **Table 08 (Direct Payments on Foreign Employment):** Applicable to individuals who receive employment income from a foreign employer that has no permanent establishment or legal presence in Sri Lanka, and therefore does not execute payroll withholding²². In these instances, the employee must calculate and pay the due tax directly²².

Operational Payroll Declarations and Compliance Forms

To initiate payroll deductions, the administrative process requires specific documentation³¹:

- **Primary Employment Declaration (Form APIT_001_EST):** Submitted by the employee to nominate their primary employer²². This declaration must be signed by both parties and authorizes the employer to apply Table 01 deductions and the monthly LKR 150,000 personal tax-free allowance²². An employee is strictly prohibited from maintaining more than one primary declaration at any given time²².
- **Secondary Employment Declaration (Form APIT_002_EST):** Submitted by resident employees to secondary employers to initiate Table 07 deductions²².
- **Certificate of Income Tax Deductions (Form APIT/T.10/(2026)):** The statutory year-end form that employers must generate and issue to each employee on or before **April 30th** following the end of the year of assessment⁷. This certificate must state the total gross remuneration paid (including cash, non-cash benefits, and grossed-up tax-on-tax benefits) and the total APIT deducted³⁵. If an employee's service is terminated mid-year, the employer must issue this certificate within 30 days of termination⁷.
- **TIN Capture:** Employers must collect and maintain the Taxpayer Identification Number (TIN) and National Identity Card (NIC) number of all employees³⁷. The employee's TIN must be entered directly into Schedule 01 of the employer's annual APIT statement³⁷.

Interaction with EPF and ETF Contributions

The payroll framework requires distinguishing between tax-deductible salary elements and statutory fund obligations⁶:

1. **Employees' Provident Fund (EPF):** The employee contributes a mandatory 8% of their gross earnings, and the employer contributes 12%, totaling a 20% statutory contribution⁶. The employee's 8% EPF contribution is fully deductible from their gross remuneration when calculating taxable monthly income for APIT purposes⁶.
2. **Employees' Trust Fund (ETF):** The employer contributes a mandatory 3% of the employee's gross monthly earnings to the ETF Board⁶. This is an employer-side cost and is not deducted from the employee's salary⁶.

3. **Approved Retrospective Withdrawals:** Lump-sum withdrawals from approved or regulated provident, pension, or termination funds upon retirement are exempt from standard taxation¹⁸. Instead, they are taxed under the concessionary terminal benefit tables¹⁸.

Return Filing and Compliance Infrastructure

For Y/A 2025/2026, return filing is administered electronically, transitioning tax compliance to digital systems¹⁶.

RAMIS Electronic Portal and Access Setup

Mandatory electronic filing (e-filing) applies to individual returns under Section 113(1)(B) of the Act¹⁶. To utilize the portal, a taxpayer must register for e-Services on the official IRD website using their 9-digit TIN and request a Personal Identification Number (PIN)¹⁶. The system allows taxpayers to authorize tax agents or approved accountants to manage returns on their behalf¹⁶.

Types of Returns and Document Integration

Taxpayers can file either a Simplified Individual Income Tax Return or a Standard Return, depending on their income sources¹⁶:

- **Simplified Individual Return:** Available to individuals whose income is limited to primary employment, secondary employment, residential solar panel installations, and interest income that has already been subjected to AIT at source by a licensed bank¹⁶. Under this scheme, the RAMIS system pre-fills several fields based on employer and bank data, though the taxpayer remains responsible for verifying the accuracy of the submission¹⁶.
- **Standard Individual Return (Form Asmt_IIT_001_E):** Required for individuals with diversified income streams, including business profits, partnership distributions, rental income, and capital gains¹⁶.

To support a standard return, taxpayers must gather and organize specific documentation as proof of their declarations⁴¹:

- **Employment Verification:** The statutory T10 certificate issued by the employer³⁸.
- **Financial Records:** Bank statements and financial accounts signed by an approved accountant if reporting business income⁴³.
- **Investment Income Statements:** Formal bank confirmations showing the account balances as of March 31, 2026, total interest earned, and AIT deducted⁴³.
- **Deduction Certificates:** Receipts for grid-connected solar purchases, donation receipts from approved state funds or charities, and home loan interest certificates from financial institutions¹⁸.

If RAMIS has not received the corresponding schedules from employers or banks, the taxpayer can manually input the data and upload scanned copies of their T10 and WHT certificates as supporting documents⁴².

Amendments and Safe Harbor Provisions

If an error is made in a submitted tax return, the taxpayer can submit a revised statement on

the portal by attaching the revised return to a copy of the original submission⁴¹.

Under Section 135(7), the IRD will accept an individual's tax return as filed, without issuing an amended or additional assessment, if the following conditions are met:

1. The return is filed with taxable income and tax paid at not less than 120% of the previous year's tax liability²⁷.
2. The full tax has been paid, and no refund has been claimed²⁷.
3. The taxpayer submits an accompanying affidavit confirming the absence of fraud, evasion, or willful default regarding the tax payable²⁷.

Payment Methods, Installments, and Key Deadlines

The Sri Lankan tax administration operates on a self-assessment model, requiring taxpayers to calculate and remit their liabilities in advance quarterly installments³.

Quarterly Installment Due Dates and Codes

For the Year of Assessment 2025/2026, installment payers must make quarterly payments by the following statutory due dates, using the designated period codes²⁰:

Quarterly Tax Instalment	Covering Period	Statutory Payment Due Date	Payment Period Code
First Instalment	April 1, 2025 – June 30, 2025	On or before August 15, 2025 [cite: 20, 41, 44]	25261 ²⁰
Second Instalment	July 1, 2025 – September 30, 2025	On or before November 15, 2025 [cite: 20, 41]	25262 ²⁰
Third Instalment	October 1, 2025 – December 31, 2025	On or before February 15, 2026 [cite: 20, 41]	25263 ²⁰
Fourth Instalment	January 1, 2026 – March 31, 2026	On or before May 15, 2026 [cite: 20, 41]	25264 ²⁰
Final Payment	Reconciliation of actual annual liability	On or before September 30, 2026 [cite: 3, 41]	25260 ⁴¹

Early Payment Discount Incentive

To encourage early tax settlement, individuals are entitled to a **10% discount** on any quarterly self-assessment tax payment made at least one month before the statutory due date⁴⁶. The discount is limited to 10% of the taxpayer's actual current-year tax liability⁴⁶.

Payment Execution and Bank Workflows

Taxpayers can remit funds electronically or physically through authorized banks⁴¹:

- **Online Bank Portals:** Through People's Web or BOC ePay, users navigate to "Bill Payments," select "GovPay" or "Inland Revenue Department" as the payee, and enter their TIN, Payment Period Code, Tax Type Code, and Payment Type (Self-Assessed or Non-Self-Assessed)⁴⁹. The RAMIS system then validates the inputs to retrieve generated payment voucher values⁴⁹.
- **Physical Bank Counters:** BOC handles payments for Corporate Income Tax, APIT, and VAT, while People's Bank handles Withholding Tax payments⁴⁵. If paying through People's Bank, the taxpayer must provide a RAMIS Payment Voucher Number, which can be obtained by calling the IRD Call Center (1944) or through the "Request Payment Voucher" e-Service on the portal⁴⁵. For BOC, providing the voucher number is optional⁴⁵.

Penalties, Interest Liabilities, and Special Relief Programs

Non-compliance with filing or payment timelines triggers automatic statutory penalties and interest⁶.

Penalty Matrix for Non-Compliance

The statutory penalties for compliance defaults are structured as follows³⁸:

Violation Description	Penalty Multiplier and Base Calculation Method	Maximum Statutory Limit
Late Filing of Income Return	The greater of: 1. 5% of the outstanding tax liability plus an additional 1% for each month (or part-month) the delay continues ⁴¹ . 2. A flat LKR 50,000 plus an additional LKR 10,000 for each month (or	Capped at LKR 400,000 ³⁸ .

	part-month) of default ³⁸ .	
Late Payment / Default on Tax	A flat penalty of 10% of the unpaid tax amount if it remains outstanding for more than 14 days after the statutory due date ⁶ .	Subject to standard recovery procedures ²⁴ .
Late Remittance of APIT by Employer	Subject to late filing penalties under Section 178, starting at LKR 50,000 plus LKR 10,000 for each delayed month ³⁸ . Non-compliant employers may also face public disclosure ³⁸ .	Capped at LKR 400,000 ³⁸ .
Default Interest on Underpayment	Compounded interest calculated on the outstanding tax liability at 1.5% per month (or part-month) of default ⁶ .	Accumulates continuously until the principal tax amount is settled ⁵³ .
Understating Tax Payable	Based on the value of the underdeclared tax ⁴¹ : • 25% of the understated amount if the underdeclared liability is less than LKR 10 million or less than 25% of the total tax due ⁴¹ . • 75% of the understated amount if the underdeclared liability exceeds LKR 10 million ⁴¹ .	Criminal prosecution may be initiated for deliberate evasion ¹⁴ .

The Section 42 Interest Relief Program

Under Section 42 of the Inland Revenue (Amendment) Act, No. 11 of 2026, the IRD was granted the authority to write off outstanding interest on late payments or underpayments⁴.

- **Scope and Eligible Taxes:** The write-off applies to Surcharge Tax, the Debt Repayment

Levy, and all forms of Income Tax (including APIT, PAYE, AIT, CGT, and NGO Tax) outstanding up to the Year of Assessment ending **March 31, 2025**⁴.

- **Operational Conditions:** To qualify for this relief, the taxpayer must settle the full principal tax amount of the assessment (whether a self-assessment, default assessment, or amended assessment) within six months of the Act's certification⁵³. The final date for this settlement was **December 2, 2026**⁵³.
- **Penalty Waivers:** Taxpayers who settle their principal tax can submit a written request to their regional unit commissioner for a full or partial waiver of associated penalties⁵³.

Administrative Refund Procedures

The procedure for claiming income tax refunds has been adjusted to accelerate processing for compliant individuals while establishing tighter statutory limits¹¹.

Expedited Refund Processing

For the Year of Assessment 2025/2026, the IRD has introduced an expedited refund mechanism designed to bypass lengthy audits for smaller claims⁵:

- **Resident Individuals:** If a resident individual submits a tax return claiming a refund of up to **LKR 180,000**, the Commissioner-General is mandated to process and pay the refund within three months of the claim date, prior to a tax audit⁵.
- **Senior Citizens:** Senior citizens (defined under Section 195 of the Act) who are not installment payers can claim expedited quarterly refunds (for quarters ending June 30, September 30, December 31, and March 31)¹¹. If the quarterly claim is less than **LKR 45,000**, the refund must be processed within three months of the claim, prior to a tax audit⁵.

Shortened Statutory Limitation Period

To encourage prompt claims and reduce the backlog of pending cases, the statutory timeline for claiming refunds has been shortened⁵. Effective from the Year of Assessment 2024/2025, taxpayers must submit any refund claims within **30 months** of the last date of the relevant year of assessment, down from the previous four-year limit⁵. This shorter window requires taxpayers to audit their withholdings and submit requests promptly¹³.

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Comprehensive Guidance for Personal Income Tax Agents: Compliance, Penalties, and Dispute Resolution in Sri Lanka (2025–2026)

Legislative Framework and Personal Income Tax Slabs

The direct tax architecture of Sri Lanka has undergone extensive statutory adjustments aimed at broadening the tax base, enhancing compliance, and modernizing administrative systems¹. The primary legislative source for these structural reforms is the Inland Revenue (Amendment) Act, No. 11 of 2026, which certified and consolidated a series of changes to the principal enactment, the Inland Revenue Act, No. 24 of 2017¹.

For the Year of Assessment (Y/A) 2025/2026, which commences on April 1, 2025, and ends on March 31, 2026, the statutory personal tax relief (tax-free threshold) for resident individuals or citizens is established at LKR 1,800,000 per annum, reflecting an increase from the previous threshold of LKR 1,200,000⁴. This personal relief applies generally to resident individuals but is strictly denied to individuals acting in a fiduciary capacity, such as trustees, executors, receivers, or liquidators⁴.

Any individual whose annual assessable income from all sources—including employment, business, investments, and other sources—exceeds LKR 1,800,000 is liable to income tax under a progressive rate schedule⁴. This taxable income is divided into progressive slabs, capped at a marginal rate of 36%⁵.

Individual Income Tax Rates and Progressive Slabs (Y/A 2025/2026)

Taxable Income Range (LKR)	Marginal Tax Rate	Cumulative Tax at Lower Limit of Slab (LKR)
First LKR 1,000,000	6%	LKR 0 ⁷
LKR 1,000,001 to LKR 1,500,000	18%	LKR 60,000 ⁹
LKR 1,500,001 to LKR 2,000,000	24%	LKR 150,000 ⁹

LKR 2,000,001 to LKR 2,500,000	30%	LKR 270,000 ⁹
Exceeding LKR 2,500,000	36%	LKR 420,000 ⁷

While the progressive rate structure applies to standard individual income, specific concessions are introduced to prevent the flight of skilled labor and preserve the export of high-value services⁹. Individual gains and profits derived from services rendered inside or outside Sri Lanka to a non-resident person, to be utilized outside Sri Lanka, are taxed at a capped maximum rate of 15% under Act No. 2 of 2025, provided that the payment is received in foreign currency and remitted to Sri Lanka through a licensed bank⁹.

Furthermore, capital gains tax (CGT) has been revised under the 2026 Amending Act; the CGT rate applicable to individuals and partnerships on the realization of investment assets has been increased from 10% to 15%, effective from the date of enactment³. Gains derived from the disposal of personal motor vehicles are excluded from the calculation of taxable "other income"³.

The state has also revised the residency rules for specific categories of taxpayers¹⁰:

- **Golden Paradise Residence Visa Holders:** Effective April 1, 2025, individual holders of these visas are treated as non-residents for income tax purposes, exempting them from global tax liability in Sri Lanka¹⁰.
- **Foreign Employment Contract Earners:** Effective April 1, 2025, a Sri Lankan citizen who leaves the country for employment under a contract of at least one year with a non-associated foreign employer is treated as a non-resident, meaning their foreign-sourced employment income is not subject to Sri Lankan income tax¹¹.
- **Non-Citizen Seafarers:** Non-citizen individuals employed on Sri Lankan-flagged vessels are only liable to income tax on income earned directly from their employment on that ship, effective April 1, 2025¹¹.

The Taxpayer Identification Number (TIN) serves as the primary mechanism for tracking taxpayer activity³. Under Section 102, registration for a TIN is mandatory for all resident individuals who are 18 years of age or older¹³.

Beginning April 1, 2026, the state has implemented a mandatory TIN verification framework, requiring public officials and commercial institutions to verify that an individual holds a valid TIN before permitting key transactions³. These transactions include opening a bank account, obtaining a credit card, registering a motor vehicle, renewing a motor vehicle license, registering land or a land title, transferring shares of a Sri Lankan company, and obtaining approval for a building plan³.

To support this system, the statutory confidentiality previously accorded to TIN data has been removed, allowing the IRD to share registries with relevant public and commercial bodies¹.

Regulatory Regime for Tax Agents and Representation

Liabilities

Personal Income Tax (PIT) Agents play a vital role as authorized representatives of taxpayers under the Inland Revenue Act¹⁵. To maintain the integrity of professional representation, the Inland Revenue Department (IRD) enforces strict qualification and compliance standards for registering and acting as a tax agent¹⁶.

Only specific professionals and entities are eligible to register as tax agents¹⁶:

- Attorneys-at-Law¹⁶.
- Members of the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)¹⁶.
- Members of the Sri Lanka Institute of Taxation (SLIT)¹⁶.
- Individuals approved by the Commissioner-General of Inland Revenue (CGIR) and registered as auditors under the Companies (Auditors) Regulations¹⁶.
- Any other individual of a specific class approved by the CGIR¹⁶.

Registered tax agents and corporate representatives must obtain a personal Staff Identification Number (SSID) in addition to a standard TIN and Personal Identification Number (PIN)¹⁶. The SSID is a security and tracking credential required to access the IRD's online e-services portal, file returns, upload documentation, and manage client tax files¹⁶.

Under Section 146, a representative of a taxpayer is responsible for executing all administrative obligations required under the Act, including filing returns, maintaining records, and paying any taxes due on behalf of the taxpayer¹⁵.

However, this representative role carries significant personal liability¹⁵. A tax agent or representative can be held personally liable for any unpaid tax due by the taxpayer if, while the tax remains unpaid, the representative alienates, charges, or disposes of moneys received or accrued in respect of which the tax is payable¹⁵.

Personal liability also arises if the representative disposes of or parts with any funds belonging to the taxpayer that are in their possession or come into their control after the tax becomes payable, provided the tax could legally have been paid out of those funds¹⁵.

This personal liability is limited to the value of the taxpayer's assets currently in the possession or under the control of the representative¹⁵.

Furthermore, tax agents must ensure that their registered agency details remain accurate¹⁷.

Under Section 177, a failure to notify the CGIR of any change in name, business address, place of business, or the nature of the tax agency activity within 30 days of the change carries a penalty of up to LKR 50,000¹⁵.

Taxpayers who use an agent must also declare the agent's registration details on their annual returns, and any change in the designated tax agent must be updated with the IRD Customer Information Update Unit within 30 days to avoid identical fines under Section 177¹⁵.

Penalty Matrix and Interest Surcharges for Defaults

The Inland Revenue (Amendment) Act, No. 11 of 2026, has introduced a more stringent enforcement framework, combining civil penalties, compounded interest charges, and criminal sanctions³.

Summary of Penalties and Interest Surcharges (Y/A 2025/2026)

Nature of Default / Offense	Statutory Basis	Basis of Penalty / Interest Computation
Late Voluntary Registration	Section 102 & 177	Flat administrative penalty of up to LKR 50,000 ¹³ .
Late Return Filing (PIT Return)	Section 126 & 178	Greater of 5% of tax owing plus 1% per month of delay, OR LKR 50,000 plus LKR 10,000 per month of delay (capped at LKR 400,000) ⁴ .
Late APIT Annual Statement	Section 113 & 178	Flat fee of LKR 50,000 plus LKR 10,000 per month of delay (capped at LKR 400,000) ⁵ .
Late Payment (Installment basis)	Section 179(2)	Penalty of 10% of the unpaid tax amount due, if unpaid within 14 days of the due date ⁴ .
Late Payment (Audited Assessment)	Section 179	Penalty of 20% of the tax in default, if unpaid within 14 days of the assessment notice ⁴ .
Compounded Interest on Defaults	Section 159(1)	Statutory interest of 1.5% per month or part of a month, computed monthly from the original due date ⁴ .
Incorrect Return (Minor Underpayment)	Section 180	Penalty of 25% of the tax shortfall, if understatement is under LKR 10,000,000 or under 25% of total tax liability ⁴ .
Incorrect Return	Section 180	Penalty of 75% of the tax

(Negligent / Major)		shortfall, if understatement exceeds LKR 10,000,000 or 25% of total tax liability ⁴ .
False Declaration (Interest/AIT WHT)	Section 178A	Administrative penalty of up to LKR 200,000 ³ .
Non-Compliance with WHT Certificates	Section 178A	Administrative penalty of up to LKR 200,000 per year of assessment ³ .
Failure to Maintain Proper Documents	Section 182	Statutory penalty of LKR 1,000 per day of default ²⁰ .

Late Registration

If an individual fails to register for a TIN when required, the IRD can perform an automatic, involuntary registration using third-party transaction data¹³. This involuntary registration does not relieve the taxpayer of their default; they remain liable for a penalty of up to LKR 50,000 under Section 177¹³.

Late Filing

For Y/A 2025/2026, the annual personal income tax return must be filed on or before November 30, 2026⁴. The penalty for late filing is calculated using two statutory options, and the IRD is mandated to apply the option that yields the higher penalty⁴:

- **Option A:** 5% of the tax owing, plus an additional 1% of the tax owing for each month or part-month during which the filing default continues⁴.
- **Option B:** LKR 50,000, plus an additional LKR 10,000 for each month or part-month during which the failure continues, subject to a statutory cap of LKR 400,000⁴.

For employers, the APIT Annual Statement for Y/A 2025/2026 must be filed on or before April 30, 2026²⁴. Failing to file this statement on time triggers a flat fee of LKR 50,000, with an additional LKR 10,000 for each month of continued delay, up to a maximum cap of LKR 400,000⁵.

Late Payment

For Y/A 2025/2026, taxpayers earning non-salary income (such as business, investment, or partnership income) must pay their estimated income tax in four quarterly installments using specific payment period codes⁷.

The installment schedule is governed by the following due dates:

- **First Installment:** August 15, 2025 (Period Code 25261)⁷.
- **Second Installment:** November 15, 2025 (Period Code 25262)⁷.
- **Third Installment:** February 15, 2026 (Period Code 25263)⁷.

- **Fourth Installment:** May 15, 2026 (Period Code 25264)⁴.

Any final balance due after the end of the year of assessment must be paid on or before September 30, 2026⁴.

Under Section 179(2), if a taxpayer fails to pay an installment or any part thereof within 14 days of its statutory due date, they are liable to a penalty equal to 10% of the unpaid tax amount⁴. For taxes due under a formal Notice of Assessment issued after an audit, the late-payment penalty is 20% of the unpaid tax if it is not paid within 14 days of the service of the notice⁴.

Compounded Interest

Under Section 159(1), if any amount of tax—including quarterly installments, final balances, or assessed deficiencies—is not paid by its statutory due date, the taxpayer is liable for interest on the unpaid amount from the due date to the date of actual payment⁴. The statutory interest rate is 1.5% per month or part of a month, computed and compounded monthly⁴.

Incorrect Returns

If a taxpayer understates their tax liability due to incorrect statements, omissions, or mischaracterizations in their return, they face penalties under Section 180⁴:

- **Minor Understatement:** If the understated tax is less than LKR 10,000,000 or represents less than 25% of the total tax liability, the penalty is 25% of the tax shortfall⁴.
- **Substantial Understatement:** If the understatement exceeds LKR 10,000,000 or represents more than 25% of the total liability, it is treated as a major or negligent understatement, and a penalty of 75% of the tax shortfall is applied⁴.

If the understatement is found to be intentional or fraudulent, the IRD can initiate summary criminal proceedings²⁶. Upon conviction, the court can impose twice the amount of the tax deficiency, a fine of up to LKR 25,000, imprisonment for up to six months, or both²⁶.

Record Keeping and Deductibility Compliance Protocols

To ensure compliance under the Inland Revenue Act, personal income tax agents must advise their clients to maintain comprehensive and contemporaneous financial records²⁷.

Under Section 120, every taxpayer engaged in a business or investment activity must maintain books of accounts, ledgers, and source documents that verify all declared income and deductible expenditures²⁸. These primary records must be securely stored and maintained for a minimum of five years (60 months) from the end of the relevant Year of Assessment³⁰.

For employers, this five-year retention mandate also applies to APIT pay sheets, monthly tax remittance receipts, and copies of completed T-10 tax deduction certificates⁵.

A critical compliance protocol is governed by Section 120(1A)²⁸. Where a taxpayer derives income from multiple business or investment activities that are subject to different tax rates, or where specific income streams qualify for tax exemptions, the taxpayer must prepare and maintain separate financial statements to isolate each stream²⁸.

This requirement ensures that tax computations for segments subject to standard,

concessionary, or exempt treatments are independently verifiable²⁸. If a taxpayer fails to maintain these separate records, the IRD can reject concessionary tax rates and tax the entire combined income at the standard rate²⁸.

Taxpayers must also comply with the cash transaction limits introduced by Section 10 to restrict informal cash economies¹¹. If a taxpayer makes a payment of LKR 500,000 or more in physical cash—whether in a single day, for a single transaction, or in a series of transactions relating to a single event—the transaction is subject to severe tax disallowances¹².

Specifically, the payer is barred from deducting the expenditure from their assessable income, and the payment cannot be included in the cost base of an asset for capital gains computations¹².

To remain deductible, payments of LKR 500,000 or more must be executed through one of the following non-cash channels:

- An account payee cheque or account payee bank draft¹¹.
- A credit card, debit card, or electronic payment system through a bank account¹¹.
- A direct cash deposit into the recipient's verified bank account¹⁰.

These restrictions do not apply to payments made to or by the Government of Sri Lanka, government institutions, commercial banks, financial institutions, or other specific classes of persons exempted by the Minister of Finance¹².

Specialized compliance obligations also apply to specific types of entities³:

- **Unit Trusts and Mutual Funds:** Under Section 59, any unit trust or mutual fund that fails to issue an income certificate containing details of income, exempt amounts, and withholding tax to each unit holder within five months of the end of the Year of Assessment will lose its flow-through tax status³. The non-compliant trust will be treated as a resident company and taxed at the standard corporate rate of 30% on its entire taxable income³.
- **Exporters:** Under Section 72, businesses exporting goods or services are permitted to deduct foreign expenses directly related to their export activities (such as foreign sales commissions or advisory fees), even if those expenses do not have a direct source in Sri Lanka¹⁰.
- **Withholding Agents:** Withholding agents must issue withholding tax certificates to payees at no cost³. Failure to comply with these requirements or submitting false declarations carries a penalty of up to LKR 200,000 per year of assessment³. Before imposing this penalty, the CGIR must issue a formal warning notice to the agent¹².

To support this compliance framework, the tax rates and thresholds for specific transactions are summarized below:

Summary of Compliance Rates and Cash Limits

Compliance Category	Statutory Reference	Quantitative Limit / Rate
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Cash Payment Limit	Section 10(2A)	LKR 500,000 per single day, single transaction, or single event ¹¹ .
Minimum Record Retention	Section 120	5 Years (60 months) from the end of the Year of Assessment ³⁰ .
Standard Corporate Tax Rate	Section 65	30% of net taxable profits ⁴ .
Exempt Bank Deposit Interest	Section 94(1)(d)	Less than LKR 5,000 per Year of Assessment for individuals under APIT ³ .
Professional Service Fee WHT	Section 85	5% WHT on monthly payments exceeding LKR 100,000 to specified professionals ¹² .

The scope of the 5% withholding tax on service fees applies to a wide range of independent service providers, including doctors, auditors, modellers, personal trainers, coaches, valuers, artists, actors, dancers, singers, musicians, event organizers, photographers, videographers, therapists, counsellors, beauticians, cooks, translators, writers, and debt collectors, provided their monthly service fee from a single payer exceeds LKR 100,000¹².

Resident individuals whose total annual assessable income from all sources (including interest) does not exceed LKR 1,800,000 can submit a self-declaration to their financial institutions to prevent the automatic 10% withholding tax on deposit interest⁸. However, if an individual submits a false or misleading self-declaration, they are subject to an administrative penalty of up to LKR 200,000 under Section 178A³.

The Audit Framework and Accelerated Refund Processes

The audit and assessment framework is designed to balance the state's enforcement powers with taxpayer compliance mechanisms, imposing strict timelines and procedural barriers on both parties³.

For companies and partnerships, conducting an annual audit at the end of the financial year is mandatory⁴. This audit must be performed by a certified, independent auditor to verify that the taxpayer's liabilities have been estimated and paid correctly⁴.

Following the audit, any final balance due must be paid on or before September 30 following the end of the year of assessment⁴. Notably, this mandatory audit requirement does not apply

to individuals or sole proprietorships, whose returns are evaluated using risk-based parameters⁴.

Under Section 135, the statutory time bar restricts the Assistant Commissioner's power to issue an amended assessment to 30 months from the date the return was filed (for self-assessments) or 30 months from the date an original assessment was served³⁴.

The Assistant Commissioner may further amend an assessment within one year of an amended assessment, but this power is strictly limited to the specific alterations or additions made in that amendment³⁷. However, if the IRD establishes that a return is affected by fraud, willful default, or gross neglect, the standard 30-month time bar is completely extinguished, and an assessment may be amended at any time²⁷.

The Individual Return Safe Harbor

To optimize administrative resources, the legislature introduced the "120% Safe Harbor" under Section 135(7) of the 2026 Amending Act³. Starting from the Year of Assessment commencing April 1, 2025, an individual taxpayer's tax return will be automatically accepted exactly as filed, and the IRD is barred from issuing an amended or additional assessment, provided three conditions are met³:

1. The return declares taxable income, and the tax paid is at least 120% of the tax liability declared in the immediately preceding Year of Assessment³.
2. The full tax liability due has been paid in complete self-assessment, and the taxpayer makes no corresponding request for a tax refund or offset³.
3. The individual provides a formal affidavit confirming that no tax fraud, evasion, or willful default has occurred regarding the tax payable for the current Year of Assessment³.

This safe harbor creates an administrative trade-off: taxpayers who pay a premium on their previous year's liability are protected from audits, while the IRD secures predictable, incremental revenue³.

Accelerated Refund Process for Senior Citizens

Specialized rules apply to refund claims made by senior citizens to ensure equitable treatment and relieve cash-flow pressures³. A resident individual who is a senior citizen (aged 60 or older) and is not classified as an installment payer is entitled to receive tax refunds within three months of submitting a claim, prior to a tax audit³.

For refund claims made prior to April 1, 2025, this accelerated process was limited to claims not exceeding LKR 60,000 per year or LKR 15,000 per quarter³. For claims made on or after April 1, 2025, the limits are expanded to cover refund claims of up to LKR 100,000 per year or LKR 25,000 per quarter, provided the claim is based on verified withholding tax credits or advance payments³⁷.

For other resident individuals, the IRD must also process refund claims under LKR 100,000 within three months of the claim, prior to a tax audit³³. For claims exceeding LKR 100,000, up to 60% of the claimed refundable amount can be set off against subsequent income tax liabilities prior to a formal tax audit, subject to procedures specified by the CGIR³³.

Administrative Review and Judicial Redress Channels

When a taxpayer disputes a formal assessment issued by the IRD, they must navigate a multi-tiered administrative and judicial appeals process³⁹. Each level of appeal is subject to strict, mandatory timelines and significant financial security requirements³⁹.

Step 1: Administrative Review

The process begins with a request for an Administrative Review³⁹. The taxpayer must submit a written petition to the Commissioner-General of Inland Revenue (CGIR) within 30 days of receiving the contested assessment³⁹. This petition must clearly outline the factual grounds, legal arguments, and numerical calculations supporting the objection³⁹.

The CGIR is given a statutory window of two years from the date of receipt to notify the taxpayer of their decision in writing³⁷. If the CGIR fails to issue a decision within this two-year period, the taxpayer's request is deemed to be accepted, unless the taxpayer has already bypassed this process³³.

However, under a key compliance rule, if the CGIR has not issued a determination after seven months from the date of filing, the taxpayer is legally permitted to bypass the remaining administrative review period and appeal directly to the Tax Appeals Commission (TAC)³⁷.

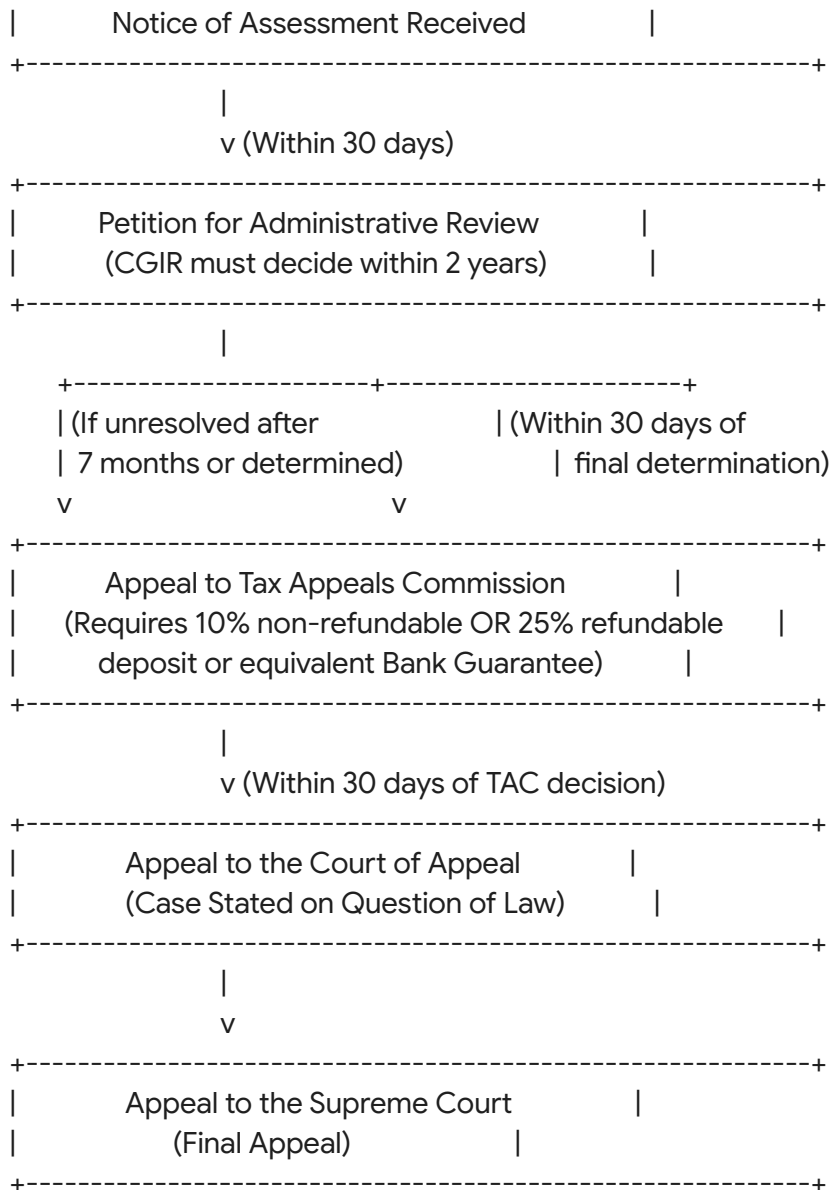
Step 2: Appeal to the Tax Appeals Commission (TAC)

A taxpayer who is aggrieved by the CGIR's administrative review determination has a right to appeal to the TAC within 30 days of receiving that determination⁴⁰. The TAC is an independent body comprising nine members appointed by the Minister of Finance, including retired judges of the Supreme Court or the Court of Appeal, and experts in taxation, finance, and law⁴⁰.

The right of appeal to the TAC is subject to a strict financial security barrier under Section 7(1) of the TAC Act⁴⁰. To list their appeal for a hearing, the appellant must deposit cash or arrange a security deposit under one of two options⁴⁰:

- **Option A:** A non-refundable payment equal to 10% of the disputed tax assessment, which is deposited into a special account operated by the Commission⁴⁰.
- **Option B:** A refundable payment equal to 25% of the disputed tax assessment, or an equivalent bank guarantee valid until the appeal is finally determined by the Commission⁴⁰.

If the TAC rules in favor of the taxpayer, any cash deposited under Option B is refunded upon request or set off against other outstanding tax liabilities, whereas deposits under Option A remain non-refundable⁴².



Evidentiary Restrictions and Default Recovery

A critical evidentiary restriction is governed by Clause 28 of the 2026 Amending Act³.

Taxpayers are legally barred from presenting any document, book of accounts, or other information in any judicial or TAC appeal proceeding if they failed to submit that evidence to the IRD during the initial audit phase within the specified statutory timelines³.

This rule eliminates the common practice of holding back key records until the appellate stage, forcing taxpayers to provide full documentation during the primary audit³.

If either the taxpayer or the CGIR is dissatisfied with the TAC's decision, they may apply to the Commission to state a case on a question of law for the opinion of the Court of Appeal under Section 11A of the TAC Act⁴².

The Court of Appeal evaluates the case strictly based on the stated questions of law, and no

new factual evidence can be introduced at this stage³⁹.

Finally, under the 2026 amendments, the Supreme Court ruled that while the CGIR has the power to submit default tax certificates to the Magistrate's Court to recover unpaid taxes, it cannot issue such a certificate while an administrative review or an appeal to the TAC is still pending¹.

Analysis of Compliance and Enforcement Surcharges

The structural changes introduced in Y/A 2025/2026 reflect a shift in Sri Lanka's direct tax policy². By integrating the TIN into basic commercial transactions and establishing severe penalties for filing and payment defaults, the state has replaced a voluntary compliance model with a highly transparent, data-driven system³.

This modernization of the tax administration creates several key strategic challenges for personal income tax agents and their clients:

1. Mandatory Electronic Integration and Profile Management

The requirement to submit all tax returns, including quarterly installment calculations, through the IRD's online e-services portal makes electronic filing mandatory for all corporate and individual taxpayers⁷.

Because the online portal uses automated systems to calculate liabilities and detect discrepancies, even minor input errors can trigger automated flags²⁵.

Additionally, under Section 177, taxpayers face a penalty of up to LKR 50,000 if they fail to update profile changes—including bank accounts, contact details, and designated tax agents—within 30 days of the change¹⁵. Tax agents must proactively audit their clients' registered profiles to prevent these automatic penalties¹⁷.

2. High Cost of Appeals and Financial Planning

The financial security requirements under the TAC Act represent a major barrier to disputing incorrect assessments⁴¹. Disputing an assessment requires either a non-refundable 10% deposit or a 25% refundable deposit or bank guarantee, which can create severe cash-flow pressures for taxpayers⁴⁰.

Furthermore, because the TAC can legally cash a bank guarantee while judicial proceedings are pending in the Court of Appeal, taxpayers face the risk of losing liquidity early in a dispute⁴¹. Consequently, tax agents must focus on resolving disputes during the administrative review phase or the initial audit, where negotiations can prevent the need for expensive appellate litigation³.

3. Evidentiary Preclusion and Audit Preparedness

The preclusion rule under Clause 28 of the 2026 Amending Act reinforces the importance of maintaining proper records during the initial audit phase³. Because taxpayers cannot introduce any documents or records during an appeal that were not submitted during the primary audit, failing to provide complete documentation to the Assistant Commissioner within the statutory timelines can compromise any future legal appeal³.

Tax agents must ensure that their clients maintain contemporaneous, well-organized records to ensure full compliance during an audit³.

4. Criminal Liability Under Section 185A

The introduction of Section 185A represents a significant escalation in enforcement, as basic compliance failures—such as failing to register for a TIN, failing to file returns, or failing to respond to an IRD summons—can now be prosecuted as criminal offenses in the Magistrate's Court³.

Although the law requires a formal 30-day warning notice before prosecution, this window must be treated as a final, urgent opportunity to resolve any defaults³.

Tax agents must establish clear communication lines with their clients to ensure that any formal notices or summonses from the IRD are identified and addressed immediately to prevent criminal exposure¹⁹.

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Comprehensive Guide to Sri Lankan Personal Income Tax and Tax Planning: Analysis of the 2025/2026 and 2026/2027 Fiscal Frameworks

The Sri Lankan fiscal regime has entered a phase of structural consolidation aimed at broadening the tax base, ensuring progressive equity, and formalizing historically untaxed sectors of the domestic economy¹. Guided by the policy commitments of the International Monetary Fund's Extended Fund Facility program, the state has enacted major legislative revisions to the Inland Revenue Act, No. 24 of 2017¹.

The primary vehicles driving this fiscal transformation are the Inland Revenue (Amendment) Act, No. 2 of 2025 (certified on March 20, 2025)³ and the Inland Revenue (Amendment) Act, No. 11 of 2026 (certified on June 3, 2026)⁵. Together, these acts establish a revised system of progressive tax slabs, tighten cash transaction rules, expand withholding mechanisms, and introduce new guidelines for tax planning, reliefs, exemptions, and compliance for the Years of Assessment 2025/2026 and 2026/2027⁵.

The Progressive Tax Rate Structure and Individual Reliefs

The Inland Revenue (Amendment) Act, No. 2 of 2025, altered the individual tax slabs to reduce the tax burden on low-to-middle-income earners while accelerating revenue capture from higher-income brackets¹.

Revision of the Personal Relief Allowance

Effective from the Year of Assessment 2025/2026 (commencing April 1, 2025), the personal relief allowance deductible from the assessable income of a resident individual or a non-resident citizen of Sri Lanka was increased from LKR 1,200,000 to LKR 1,800,000 per annum³. This adjustment translates to a monthly tax-free threshold of LKR 150,000, up from the previous LKR 100,000 limit¹.

This baseline relief is available for all sources of statutory income—including employment, business, and investments—but is strictly barred from offsetting capital gains derived from the realization of investment assets⁸. Non-resident individuals who are not citizens of Sri Lanka are entirely excluded from claiming this LKR 1,800,000 personal relief, making their entire Sri Lankan source income taxable from the first rupee⁹.

Restructured Tax Slabs

Beyond the personal relief threshold, the progressive tax slabs have been reshaped¹. Under the

previous system, five tax slabs of LKR 500,000 each were taxed at progressive rates of 6%, 12%, 18%, 24%, and 30%, with the balance taxed at 36%¹. The 2025 amendment expanded the initial 6% tax slab to LKR 1,000,000 and completely eliminated the 12% intermediate tax bracket¹. Income exceeding this first LKR 1,000,000 slab is subjected to consecutive LKR 500,000 slabs taxed at 18%, 24%, and 30%, with any remaining balance taxed at a top marginal rate of 36%¹.

Annual Taxable Income Range (LKR)	Monthly Equivalent Range (LKR)	Marginal Tax Rate (%)	Cumulative Tax at Bracket Ceiling (LKR)
First 1,800,000	First 150,000	0% (Tax-Free Relief)	LKR 0 ¹
1,800,001 to 2,800,000	150,001 to 233,333	6%	LKR 60,000 ¹
2,800,001 to 3,300,000	233,334 to 275,000	18%	LKR 150,000 ¹
3,300,001 to 3,800,000	275,001 to 316,667	24%	LKR 270,000 ¹
3,800,001 to 4,300,000	316,668 to 358,333	30%	LKR 420,000 ¹
Exceeding 4,300,000	Exceeding 358,333	36% on the balance	Subject to total assessable income ¹

The mathematical expression utilized to compute the total annual individual tax liability (T_{annual}) for an assessable income ($I_{assessable}$) exceeding LKR 4,300,000 is defined as:

$$T_{annual} = 420,000 + (I_{assessable} - 4,300,000) \times 0.36$$

This structure steepens the marginal tax progression for higher-income earners¹. While the elimination of the 12% bracket accelerates the transition of middle-income earners into the 18% and 24% brackets, the expanded LKR 1,800,000 tax-free allowance still provides net monthly tax savings across all standard income levels¹.

Employment Income, EPF/ETF Deductibility, and APIT

Mechanics

Advance Personal Income Tax (APIT) remains the mandatory withholding tax mechanism for employment income in Sri Lanka⁶. Employers must calculate, deduct, and remit APIT monthly for all qualifying employees whose earnings exceed the LKR 150,000 monthly threshold, regardless of employee consent⁶.

Deductibility of Employees' Provident Fund Contributions

Under the Employees' Provident Fund (EPF) Act, employees contribute a mandatory 8% of their total monthly earnings to the EPF, while employers contribute 12% to the EPF and 3% to the Employees' Trust Fund (ETF)⁶.

For the purposes of APIT calculation, the employee's 8% EPF contribution is fully deductible from their gross employment income in arriving at monthly taxable income⁶. Conversely, the employer's 12% EPF and 3% ETF contributions, which are paid on top of the gross salary, are not deducted from the employee's pay and do not form part of the employee's taxable income base¹².

To illustrate, consider an employee earning a gross monthly salary of LKR 500,000:

1. Mandatory 8% Employee EPF Contribution Deduction:

$$C_{EPF} = \text{LKR } 500,000 \times 0.08 = \text{LKR } 40,000 \text{ [cite: 12]}$$

2. Adjusted Taxable Monthly Income:

$$I_{taxable} = \text{LKR } 500,000 - \text{LKR } 40,000 = \text{LKR } 460,000 \text{ [cite: 12]}$$

3. Applying Monthly APIT Table 01 Slabs to LKR 460,000:

- First LKR 150,000: Tax-Free¹
- Next LKR 83,333 (up to LKR 233,333): $\text{LKR } 83,333 \times 0.06 = \text{LKR } 5,000$
[cite: 1, 11]
- Next LKR 41,667 (up to LKR 275,000): $\text{LKR } 41,667 \times 0.18 = \text{LKR } 7,500$
[cite: 1, 11]
- Next LKR 41,667 (up to LKR 316,667): $\text{LKR } 41,667 \times 0.24 = \text{LKR } 10,000$
[cite: 1, 11]
- Next LKR 41,667 (up to LKR 358,333): $\text{LKR } 41,667 \times 0.30 = \text{LKR } 12,500$
[cite: 1, 11]
- Balance of LKR 101,667 (LKR 460,000 - LKR 358,333):
 $\text{LKR } 101,667 \times 0.36 = \text{LKR } 36,600$
[cite: 1, 11]

4. Total Monthly APIT Payable:

$$T_{monthly} = 5,000 + 7,500 + 10,000 + 12,500 + 36,600 = \text{LKR } 71,600 \text{ [cite: 11]}$$

Without the 8% EPF deduction, the tax would have been calculated on the full LKR 500,000, resulting in a monthly tax liability of LKR 86,000¹. This highlights the importance of the EPF deduction in legal tax planning for salaried employees¹².

Remittance and Compliance

Employers must remit all deducted APIT amounts to the Inland Revenue Department (IRD) by the 15th day of the following month⁶. Each payment must be tagged with a designated period code using the format YYMM0 (e.g., code 25040 for April 2025)¹⁰.

Employers must also issue an annual T-10 Certificate of Tax Deduction to employees, detailing all withholdings made during the fiscal year¹⁰. Failure to deduct or remit APIT makes the employer personally liable for the unpaid tax, along with a 10% late-payment penalty and a monthly interest surcharge of 1.5% on overdue balances¹⁰.

Non-Regular Income, Lump-Sums, and Terminal Benefits

Tax planning must also account for non-regular employment income, such as bonuses, and terminal benefits paid upon retirement or termination⁶.

Lump-Sum Payments and Table 02 Formulas

Lump-sum payments, such as performance bonuses, incentives, and commission arrears, are subject to withholding tax under APIT Table 02⁶. Rather than treating a lump-sum payment as regular income in the month it is paid—which would artificially push the employee into a higher tax bracket—Table 02 uses a cumulative annual projection formula¹⁵.

The employer calculates the Estimated Gross Aggregate Remuneration (EGAR) for the Year of Assessment, applies the progressive annual rates, and deducts any tax already paid on regular monthly salaries and previous lump sums¹⁵.

The Table 02 tax withholding formulas for the Year of Assessment 2025/2026 are structured as follows:

Projected Cumulative Remuneration (D) (LKR)	Cumulative Tax Formula (Including Regular and Lump-Sum Tax)
Up to LKR 1,800,000	LKR 0 (No tax liability) ¹⁵
1,800,001 to 2,800,000	$(D \times 0.06) -$

	[cite: 15]
2,800,001 to 3,300,000	$(D \times 0.18) -$ [cite: 15]
3,300,001 to 3,800,000	$(D \times 0.24) -$ [cite: 15]
3,800,001 to 4,300,000	$(D \times 0.30) -$ [cite: 15]
Exceeding 4,300,000	$(D \times 0.36) -$ [cite: 15]

Terminal Benefits Tax Under Table 03

Terminal benefits—including commuted pensions, retiring gratuities, compensation for loss of office under approved uniform schemes, and Employee's Trust Fund (ETF) payments—receive concessionary tax treatment⁸. Sums received from a provident fund approved by the Commissioner-General of Inland Revenue (CGIR) or regulated government provident funds are fully exempt from income tax⁸. Similarly, capital sums paid as compensation for personal injuries or death, as well as pensions paid directly by the government of Sri Lanka, are entirely tax-free⁸.

For taxable, once-and-for-all terminal payments, concessionary rates apply under Table 03⁸:

Cumulative Terminal Benefit Amount (LKR)	Concessionary Tax Rate (%)
First LKR 10,000,000	0% (Tax-Exempt) ⁸
Next LKR 10,000,000	6% on the excess ⁸
On the Balance (Above LKR 20,000,000)	12% on the excess ⁸

If terminal benefits are paid under an unapproved retirement scheme or represent unapproved compensation for loss of office, they do not qualify for these concessionary rates⁸. Instead, they are subject to withholding at a flat rate of 36%¹⁶.

Under statutory guidelines, the employer or the ETF must retain 12% of any approved terminal benefit exceeding LKR 5,000,000, or 36% of unapproved payments, for up to 90 days¹⁶. The retiring employee must obtain a formal tax clearance direction from the Clearance and

Directions Unit of the IRD within this 90-day window¹⁶. If no direction is received within 90 days, the withheld amount must be remitted directly to the IRD¹⁶.

Advance Income Tax on Interest and the Self-Declaration Process

The Advance Income Tax (AIT) rate on interest and discounts paid on deposits was increased from 5% to 10%, effective April 1, 2025³. This tax is deducted at source by banks and financial institutions on all interest-bearing accounts¹⁹.

The Self-Declaration Mechanism for Low-Income Earners

To protect individuals with low overall income from having tax withheld on their savings, the IRD introduced a Self-Declaration Mechanism under Circular No. SEC/2025/E/03 and SEC/2026/E/01¹⁹. Under these guidelines, a resident individual whose total assessable income from all sources—including salary, business profits, and interest—does not exceed LKR 1,800,000 for the Year of Assessment can submit a formal self-declaration (Form ISD/WHT/02-E) to their financial institutions²⁰. Once a valid declaration is submitted, the bank is prohibited from deducting the 10% AIT from interest payments on those accounts¹⁸. If an individual holds accounts across multiple financial institutions, they must submit a separate declaration to each bank²¹. While guardians can file on behalf of minors, they must provide both the guardian's National Identity Card (NIC) and Taxpayer Identification Number (TIN)²¹. For joint accounts, each holder must submit a separate declaration to protect their respective share of the interest income²¹.

Case Studies: Assessable Income and Self-Declaration Eligibility

The application of the self-declaration rules is illustrated through three distinct taxpayer profiles:

- **Case 1: Mr. Karunadasa (Eligible)**
 - *Profile:* A retired accountant, 62 years of age, receiving a tax-exempt government pension of LKR 95,000 per month²⁰. He earns LKR 20,000 per month from bookkeeping work and expects annual interest income of LKR 1,416,000 (LKR 118,000 per month) from fixed deposits²⁰.
 - *Calculation:*

$$\text{Employment Income (Pension)} = \text{LKR } 0 \text{ (Tax-Exempt)} \text{ [cite: 20]}$$

$$\text{Business Income} = \text{LKR } 20,000 \times 12 = \text{LKR } 240,000 \text{ [cite: 20]}$$

$$\text{Investment Income (Interest)} = \text{LKR } 118,000 \times 12 = \text{LKR } 1,416,000 \text{ [cite: 20]}$$

$$\text{Total Annual Assessable Income} = 0 + 240,000 + 1,416,000 = \text{LKR } 1,656,000 \text{ [}$$

- *Determination:* Because his total assessable income of LKR 1,656,000 is below the LKR 1,800,000 threshold, Mr. Karunadasa is eligible to submit a self-declaration to his banks to receive his interest income free of AIT withholding²⁰.
- **Case 2: Mrs. Rajapaksa (Ineligible)**
 - *Profile:* A 50-year-old private bank employee earning a monthly salary of LKR 325,000 (LKR 3,900,000 annually)²⁰. She expects LKR 700,000 in interest from a maturing fixed deposit and LKR 12,000 per month from an agricultural venture²⁰.
 - *Calculation:*

$$\text{Employment Income} = \text{LKR } 325,000 \times 12 = \text{LKR } 3,900,000 \text{ [cite: 20]}$$

$$\text{Business Income (Agriculture)} = \text{LKR } 12,000 \times 12 = \text{LKR } 144,000 \text{ [cite: 20]}$$

$$\text{Investment Income (Interest)} = \text{LKR } 700,000 \text{ [cite: 20]}$$

$$\text{Total Annual Assessable Income} = 3,900,000 + 144,000 + 700,000 = \text{LKR } 4,744,000$$

- *Determination:* Because her assessable income of LKR 4,744,000 exceeds the LKR 1,800,000 limit, Mrs. Rajapaksa is ineligible for the self-declaration relief²⁰. The bank must withhold the 10% AIT (LKR 70,000) upon the maturity of her fixed deposit²⁰.
- **Case 3: Saman Rathnayake and Daughter Methuli (Minor Aggregation Rules)**
 - *Profile:* Saman is a university lecturer earning LKR 420,000 per month and receiving LKR 15,000 in monthly interest²⁰. His 14-year-old daughter, Methuli, has a fixed deposit maturing in July 2025 with LKR 800,000 in interest, alongside monthly savings interest of LKR 12,000²⁰.

- *Calculation & Aggregation:* Saman's individual assessable income exceeds LKR 1,800,000, making him ineligible for self-declaration²⁰. Under Section 50 of the Inland Revenue Act, the investment income of a minor child is aggregated with the assessable income of the parent who maintains the child (provided the parents' marriage subsists)²⁰. Methuli's annual interest income of LKR 944,000 (LKR 800,000 + LKR 12,000 × 12) is aggregated with Saman's income, bringing their combined assessable income well above the LKR 1,800,000 threshold²⁰.
- *Determination:* No valid self-declaration can be filed for either Saman or Methuli²⁰. The bank must withhold the 10% AIT on Methuli's maturity and savings interest²⁰.

Special Income Categories, Concessionary Rates, and Exemption Removals

Effective April 1, 2025, several historical income tax exemptions were removed to broaden the tax base, but concessionary rate caps were introduced to protect key economic sectors³.

Exemption Removals and the 15% Concessionary Cap

The historical exemptions on service exports and foreign-source incomes have been abolished³. Under the revised framework, a maximum tax rate of 15% applies to these gains and profits, protecting them from the higher progressive rates of 18%, 24%, 30%, and 36%³. This concessionary cap applies to:

- **Service Exports:** Gains and profits from any service rendered inside or outside Sri Lanka to a person to be utilized outside Sri Lanka, provided payments are received in foreign currency and remitted to Sri Lanka through a licensed bank³.
- **Foreign-Source Income:** Gains and profits earned in foreign currency from any source outside Sri Lanka and remitted to the country through a bank³.

If an individual's progressive taxable income places them in the 6% bracket, that lower rate applies to their foreign currency earnings³. The 15% concessionary rate acts as a statutory ceiling, protecting these inflows from higher marginal rates³.

Flat-Rate Business Surcharges

To discourage gaming and tobacco consumption while generating state revenue, the flat tax rate on profits from betting and gaming, or the manufacture, import, and sale of liquor or tobacco products, was increased from 40% to 45% effective April 1, 2025³. This rate applies to both individuals and corporate entities engaged in these businesses³.

Legal Tax Planning: Reliefs, Qualifying Payments, and Deductions

Tax planning under the current framework requires a precise understanding of statutory reliefs, qualifying payments, and deductions that can be used to legally reduce taxable income⁸.

Rent and Solar Panel Deductions

- **Rent Relief:** Resident individuals who derive rental income from real estate are entitled to a flat deduction equal to 25% of the total gross rental income for the Year of Assessment⁸. This serves as a standard allowance for repairs, maintenance, and rates, and no other expenses can be claimed against rental income⁸.
- **Solar Panel Relief:** A resident individual who installs solar panels connected to the national grid on their premises can claim a deduction of up to LKR 600,000 for each Year of Assessment⁸. This deduction is capped at the total actual expenditure incurred, or the total amount paid to a bank toward a loan obtained to acquire the solar panels⁸.

Qualifying Payments and Healthcare Credit Reforms

Under the Inland Revenue (Amendment) Act, No. 11 of 2026, the qualifying payment rules were updated to allow taxpayers to carry forward unused deductions⁵:

- **Carry-Forward of Government Donations:** Effective April 1, 2025, if an individual makes a donation to the Government of Sri Lanka or specified government funds, and their assessable income in that Year of Assessment is insufficient to absorb the deduction, the unutilized portion of the qualifying payment can be carried forward and deducted in subsequent Years of Assessment⁵.
- **Healthcare Collaborations:** Donations made to registered social service organizations that provide healthcare facilities in collaboration with government healthcare or educational services are treated as qualifying payments, subject to statutory limits⁵.
- **Approved Charity Limits:** Donations to approved charitable institutions remain subject to a statutory limit of the lower of one-third of the individual's assessable income or LKR 75,000⁶.

Withholding Tax on Service Fees for Independent Professionals

To combat tax evasion in the professional services sector, the scope of withholding tax has been expanded⁵.

Expanded List of 29 Professional Categories

A 5% withholding tax applies to service payments exceeding LKR 100,000 per calendar month made to resident independent service providers who are not employees⁸.

Under the Inland Revenue (Amendment) Act, No. 11 of 2026, the list of professional categories subject to this 5% WHT was expanded to include 29 distinct groups⁵. This expansion ensures that independent professionals are taxed at source, mirroring the APIT system for salaried employees³⁰.

Expanded Professional Services Subject to 5% WHT (Monthly Payments > LKR 100,000)

Doctors, Engineers, Accountants, Lawyers, Software Developers, Tutors, Lecturers, Researchers, Academics⁸

Auditors, Modelers, Personal Trainers, Coaches, Valuers, Artists, Actors, Dancers, Singers, Musicians, Therapists, Counselors⁵

Event Organizers, Photographers, Videographers, Beauticians, Cooks, Electricians, Veterinarians⁵

Social Media Specialists, Brand Ambassadors, Sportspeople, IT Specialists, Advertising Agents, Advisors, Translators, Writers, Debt Collectors⁵

Exemptions from Service WHT

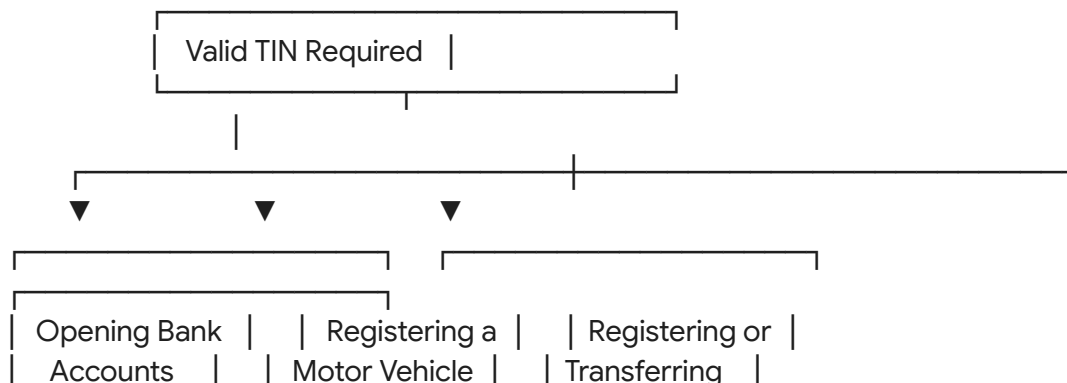
This WHT does not apply to payments made by the Government of Sri Lanka, government departments, or local authorities, though it does apply to payments made by public corporations and universities²⁹. It also does not apply to payments made by individuals, unless the payment is made in the course of conducting a business venture²⁹.

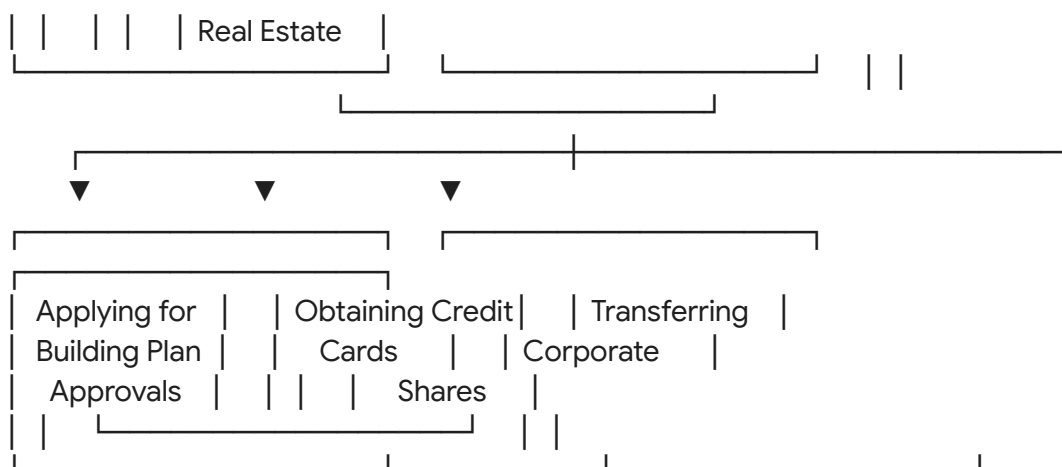
Compliance, Administration, and Key Taxpayer Rights

The Inland Revenue (Amendment) Act, No. 11 of 2026, introduced several administrative changes to improve tax tracking, simplify compliance, and formalize the economy⁵.

Mandatory Taxpayer Identification Number Touchpoints

The Taxpayer Identification Number (TIN) is now required for standard financial and administrative activities³⁰. Effective April 1, 2026, specified officials must verify that an individual holds a valid TIN before allowing them to complete key transactions⁵:





Additionally, all newly incorporated companies must obtain a TIN within 30 days of registration⁵. To support these enforcement efforts, the TIN is no longer treated as confidential information⁵.

Restricting Cash Transactions

To encourage the use of formal banking channels and create an auditable paper trail, payments of LKR 500,000 or more in a single day (for a single transaction or a series of connected transactions) cannot be made in cash⁷.

To claim a cash payment of this size as a deductible business expense or include it in the cost base of an asset, the payment must be made through traceable methods: payee-only cheques, bank drafts, credit or debit cards, or direct bank transfers⁷. Under a retrospective amendment effective May 8, 2023, depositing cash directly into the recipient's bank account is also permitted⁷. These cash transaction limits do not apply to payments made to government institutions, banks, or financial institutions⁷.

Retrospective Tax Credit for Salary Arrears

Under Section 96A of the Inland Revenue Act, effective retrospectively from January 1, 2024, employees who receive salary arrears (for example, following a suspension or disciplinary inquiry) are entitled to a tax credit⁵. This credit allows taxpayers to offset the tax on those arrears against their current employment tax liability, ensuring they are not pushed into an artificially higher tax bracket in the year of receipt⁵.

Accelerated Refunds for Resident Individuals and Senior Citizens

To resolve historic delays in issuing tax refunds, the IRD has introduced a fast-track refund process³:

- **Standard Individual Claims:** For the Year of Assessment 2025/2026 onwards, if a resident individual claims a refund of up to LKR 180,000, the Commissioner-General must process and issue the refund within three months of the claim, prior to conducting a tax audit³.
- **Senior Citizen Claims:** Senior citizens who are not instalment payers are entitled to receive quarterly refunds within three months of their claim, prior to a tax audit, if the

claim is less than LKR 45,000 per quarter³.

- **Reduced Claim Window:** Effective from the Year of Assessment 2024/2025, refund claims must be filed within 30 months of the tax return deadline, down from the previous four-year limit³.

Interest Waiver Amnesty for Outstanding Liabilities

Under Section 42 of the Inland Revenue (Amendment) Act, No. 11 of 2026, the CGIR is empowered to write off outstanding interest on late tax payments and underpayments for liabilities up to the Year of Assessment 2024/2025⁵.

To qualify for this interest waiver, the taxpayer must settle the principal tax amount and any remaining penalties in full within six months of the Act's enactment (by December 2, 2026)²⁷.

This amnesty applies to self-assessments, default assessments, and cases currently under tax audit or appeal, provided the outstanding principal is paid by the deadline³³.

Residency Rule Adjustments

The residency rules have been modified to support foreign currency inflows and clarify the tax status of specific individuals⁵:

- **Individuals Leaving for Overseas Employment:** Effective April 1, 2025, any individual who leaves Sri Lanka for employment under a contract of at least one year with an unrelated employer is treated as a non-resident for tax purposes from the date of departure until the contract ends, exempting their foreign employment income from local taxation⁵.
- **Non-Citizens Employed on Sri Lankan Ships:** These individuals are liable to pay tax in Sri Lanka only on the employment income earned from the ship, and residency status applies solely for the duration of that employment⁵.
- **Investor Category Visa Holders:** Individuals holding an Investor Category Residence Visa are treated as non-residents for income tax purposes, protecting their global income from local taxation⁵.

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